ACCA APPROVED
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Practice & Revision Kit

Foundations in Accountancy

FA1

Recording Financial Transactions

For exams from 1 September 2016
to 31 August 2017

APPROVED ACCA CONTENT

Content reviewed by
ACCA's examining team

BPP
LEARNING
MEDIA

Foundations in Accountancy

FA1

RECORDING FINANCIAL TRANSACTIONS

P R A C T I C E & R E V I S I O N K I T

Welcome to BPP Learning Media's Practice & Revision Kit for FA1. In this Practice & Revision Kit, which has been reviewed by the **ACCA examination team**, we:

- Include **Do you know?** Checklists to test your knowledge and understanding of topics
- Provide you with **two** mock exams including the Specimen Exam June 2014
- Provide the **ACCA's exam answers** to the Specimen Exam June 2014 as an additional revision aid

FOR EXAMS FROM 1 SEPTEMBER 2016 TO 31 AUGUST 2017

First edition May 2011
Fifth edition March 2016

ISBN 9781 4727 4614 6
Previous ISBN 9781 4727 3529 4

e-ISBN 9781 4727 4633 7

British Library Cataloguing-in-Publication Data
A catalogue record for this book
is available from the British Library

Published by

BPP Learning Media Ltd
BPP House, Aldine Place
London W12 8AA

www.bpp.com/learningmedia

Printed in the United Kingdom by RICOH UK Limited

Unit 2
Wells Place
Merstham
RH1 3LG

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Helping you with your revision

BPP Learning Media – ACCA Approved Content Provider

As an ACCA **Approved Content Provider**, BPP Learning Media gives you the **opportunity** to use revision materials reviewed by the ACCA examination team. By incorporating the ACCA examination team's comments and suggestions regarding the depth and breadth of syllabus coverage, the BPP Learning Media Practice & Revision Kit provides excellent, **ACCA-approved** support for your revision.

Selecting questions

We provide signposts to help you plan your revision.

- A full **question index**

Attempting mock exams

There are two mock exams that provide practice at coping with the pressures of the exam day. We strongly recommend that you attempt them under exam conditions. **Mock exam 1** is the Specimen Exam June 2014. **Mock exam 2** reflects the question styles and syllabus coverage of the exam.

Using your BPP Practice & Revision Kit

Aim of this Practice & Revision Kit

To provide the practice to help you succeed in both the paper based and computer based examinations for FA1 *Recording Financial Transactions.*

To pass the examination you need a thorough understanding in all areas covered by the syllabus and teaching guide.

Recommended approach

- Make sure you are able to answer questions on **everything** specified by the syllabus and teaching guide. You cannot make any assumptions about what questions may come up on your paper. The examination team aims to discourage 'question spotting'.
- Learning is an **active** process. Use the **DO YOU KNOW**? Checklists to test your knowledge and understanding of the topics covered in FA1 *Recording Financial Transactions* by filling in the blank spaces. Then check your answers against the **DID YOU KNOW**? Checklists. Do not attempt any questions if you are unable to fill in any of the blanks – go back to your **BPP Interactive Text** and revise first.
- When you are revising a topic, think about the mistakes that you know that you should avoid by writing down **POSSIBLE PITFALLS** at the end of each **DO YOU KNOW**? Checklist.
- Once you have completed the checklists successfully, you should attempt the questions on that topic. Each question is worth 2 marks and carries with it a time allocation of 2.4 minutes.
- Once you have completed all of the questions in the body of this Practice & Revision Kit, you should attempt the **MOCK EXAMS** under examination conditions. Check your answers against our answers to find out how well you did.

Passing the FA1 exam

FA1 *Recording Financial Transactions* teaches you basic bookkeeping for cash and credit transactions. There is a lot to learn, but none of it is particularly difficult and a good grasp of these topics will help you in higher-level financial accounting.

To access Foundation In Accountancy syllabuses, visit the ACCA website http://www2.accaglobal.com/students/fia

The exam

You can take this exam as a paper-based exam or by CBE. All questions in the exam are compulsory. This means you cannot avoid any topic, but also means that you do not need to waste time in the exam deciding which questions to attempt. There are 50 MCQs in the FA1 exam. The examination team are able to test most of the syllabus at each sitting, and that is what they aim to do. So you need to have revised right across the syllabus for this exam.

Revision

This Practice & Revision Kit has been reviewed by the FA1 examination team and contains the Specimen Exam June 2014, so if you just worked through it to the end you would be very well prepared for the exam. It is important to tackle questions under exam conditions. Allow yourself just the number of minutes shown next to the questions in the index and don't look at the answers until you have finished. Then correct your answer and go back to the Interactive Text for any topic you are really having trouble with. Try the same question again a week later – you will be surprised how much better you are getting. Doing the questions like this will really show you what you know, and will make the exam experience less worrying.

Doing the exam

If you have honestly done your revision you can pass this exam. There are certain points which you must bear in mind:

- Read the question properly.
- Don't spend more than the allotted time on each question. If you are having trouble with a question leave it and carry on. You can come back to it at the end.

Approach to examining the syllabus

FA1 is a two-hour paper. It can be taken as a paper based or a computer based examination.

The exam is structured as follows:

	No of marks
50 compulsory multiple choice questions of 2 marks each	100

The Computer Based Examination

Computer based examinations (CBEs) are available for the first seven Foundations In Accountancy papers (not papers FAU, FTX or FFM), in addition to the conventional paper based examination.

Computer based examinations must be taken at an ACCA CBE Licensed Centre.

How does CBE work?

- Questions are displayed on a monitor
- Candidates enter their answer directly onto the computer
- Candidates have two hours to complete the examination
- When the candidate has completed their examination, the final percentage score is calculated and displayed on screen
- Candidates are provided with a Provisional Result Notification showing their results before leaving the examination room
- The CBE Licensed Centre uploads the results to the ACCA (as proof of the candidate's performance) within 72 hours
- Candidates can check their exam status on the ACCA website by logging into myACCA.

Benefits

- **Flexibility** as a CBE can be sat at any time.
- **Resits** can also be taken at any time and there is no restriction on the number of times a candidate can sit a CBE.
- **Instant feedback** as the computer displays the results at the end of the CBE.
- Results are notified to ACCA **within 72 hours**.

CBE question types

- Multiple choice – choose one answer from four options
- Number entry – key in a numerical response to a question
- Multiple response – select more than one response by clicking the appropriate tick boxes
- Multiple response matching – select a response to a number of related part questions by choosing one option from a number of drop down menus

Note that for the FA1 CBE exam the only type of question used is multiple choice.

For more information on computer-based exams, visit the ACCA website.

www.accaglobal.com/en/student/Exams/Computer-based-exams.html

Tackling Multiple Choice Questions

MCQs are part of all Foundations In Accountancy exams. They form the paper based exams and may appear in the CBE.

The MCQs in your exam contain four possible answers. You have to **choose the option that best answers the question**. The three incorrect options are called distracters. There is a skill in answering MCQs quickly and correctly. By practising MCQs you can develop this skill, giving you a better chance of passing the exam.

You may wish to follow the approach outlined below, or you may prefer to adapt it.

Step 1	Skim read all the MCQs and identify what appear to be the easier questions.
Step 2	Attempt each question – **starting with the easier questions** identified in Step 1. Read the question **thoroughly**. You may prefer to work out the answer before looking at the options, or you may prefer to look at the options at the beginning. Adopt the method that works best for you.
Step 3	Read the four options and see if one matches your own answer. Be careful with numerical questions as the distracters are designed to match answers that incorporate common errors. Check that your calculation is correct. Have you followed the requirement exactly? Have you included every stage of the calculation?
Step 4	You may find that none of the options matches your answer. • Re-read the question to ensure that you understand it and are answering the requirement • Eliminate any obviously wrong answers • Consider which of the remaining answers is the most likely to be correct and select the option
Step 5	If you are still unsure make a note and continue to the next question
Step 6	Revisit unanswered questions. When you come back to a question after a break you often find you are able to answer it correctly straight away. If you are still unsure have a guess. You are not penalised for incorrect answers, so **never leave a question unanswered!**

After extensive practice and revision of MCQs, you may find that you recognise a question when you sit the exam. Be aware that the detail and/or requirement may be different. If the question seems familiar read the requirement and options carefully – do not assume that it is identical.

Using your BPP products

This Kit gives you the question practice and guidance you need in the exam. Our other products can also help you pass:

- **Interactive Text** introduces and explains the knowledge required for your exam
- **Passcards** provide you with clear topic summaries and exam tips

You can purchase these products by visiting www.bpp.com/learningmedia.

Questions

Do you know? – INTRODUCTION TO TRANSACTION ACCOUNTING

Check that you can fill in the blanks in the statements below before you attempt any questions. If in doubt, you should go back to your BPP Interactive Text and revise first.

- Whenever property changes hands there has been a ……………………… .
- A cash transaction is one where the ………………………………………………………………..… ………………………… .
- A credit transaction is ……………………………………………………………………………..…. …………………..… .
- The purpose of the accounting system is to ………., ……………. and ……… the information contained in the documentation generated by transactions.
- A discount is a reduction in the price of goods below the amount at which those goods would normally be sold to other customers of the supplier.
  - A ……………….. is a reduction in the amount of money demanded from a customer.
  - A ………………… is an optional reduction in the amount of money payable by a customer.
- Many business transactions involve sales tax.
  - …………… is sales tax charged on goods and services sold by a business.
  - ………….. is sales tax paid on goods and services bought in by a business.

TRY QUESTIONS 1.1 TO 1.8

- ……… is the excess of income over expenditure. When expenditure exceeds income, the business is running at a ……. .
- A business must always be treated as a ………………… from its owners when preparing accounts.
- The accounting equation is that the assets and liabilities of a business must always be ……. .
  - Assets = (Capital introduced + retained profits – drawings) + liabilities
- Double entry bookkeeping reflects the fact that for every debit, there is an equal ……….. . Therefore the total value of debit entries will always be equal to the total value of credit entries.
- At any point in time a business will have assets, liabilities and capital.
  - …………………are for use within a business.
  - ………………… are used to generate cash.
  - …………………… are payables of the business.

TRY QUESTIONS 1.9 TO 1.17

- Books of ………….. are used to keep records of …………………… . Examples include the sales day book, the ……………. day book and the cash book.
- Entries are ……… from the day books to the ……….. ledger.
- Accounting packages can update ledgers simultaneously if the ledgers are…………………… .
- Customer and supplier information which is stored may be subject to …………………. legislation.

TRY QUESTIONS 1.18 TO 1.33

- The ……….. is a record of unusual movements between accounts.
- An error of …………… occurs when two digits in an amount are recorded the wrong way round.
- An error of ……………. means failing to record a transaction at all.
- An error of ……………. denotes a mistake which breaks the 'rules' of an accounting concept or principle, such as a posting to the wrong type of account.

Do you know? – INTRODUCTION TO TRANSACTION ACCOUNTING – CONT'D

- Posting to the correct accounts but using the wrong amount is an error of ……………..
- Posting an entry to the wrong account is an error of …………………
- The trial balance is a list of ………………
- The trial balance will detect errors of ……………
- When a trial balance does not balance the difference is temporarily posted to a ……………..
- Corrections involving equal debits and credits are made using a ………………
- Postings to the wrong account can be caused by incorrect…………

TRY QUESTIONS 1.34 TO 1.46

- *Possible pitfalls*

  Write down the mistakes you know you should avoid.

Did you know? – INTRODUCTION TO TRANSACTION ACCOUNTING

Could you fill in the blanks? The answers are in bold. Use this page for revision purposes as you approach the exam.

- Whenever property changes hands there has been a **business transaction**.
- A cash transaction is one where the **buyer pays cash to the seller at the time the goods or services are transferred**.
- A credit transaction is **a sale or purchase which occurs some time earlier than cash is received or paid**.
- The purpose of the accounting system is to **record**, **summarise** and **present** the information contained in the documentation generated by transactions.
- A discount is a reduction in the price of goods below the amount at which those goods would normally be sold to other customers of the supplier.
  - A **trade discount** is a reduction in the amount of money demanded from a customer.
  - A **cash discount** is an optional reduction in the amount of money payable by a customer.
- Many business transactions involve sales tax.
  - **Output tax** is sales tax charged on goods and services sold by a business.
  - **Input tax** is sales tax paid on goods and services bought in by a business.

  TRY QUESTIONS 1.1 TO 1.8
- **Profit** is the excess of income over expenditure. When expenditure exceeds income, the business is running at a **loss**.
- A business must always be treated as a **separate entity** from its owners when preparing accounts.
- The accounting equation is that the assets and liabilities of a business must always be **equal**.
  - Assets = (Capital introduced + retained profits – drawings) + liabilities
- Double entry bookkeeping reflects the fact that for every debit, there is an equal **credit**. Therefore the total value of debit entries will always be equal to the total value of credit entries.
- At any point in time a business will have assets, liabilities and capital.
  - **Non-current assets** are for use within a business.
  - **Current assets** are used to generate cash.
  - **Liabilities** are payables of the business.

  TRY QUESTIONS 1.9 TO 1.17
- Books of **prime entry** are used to keep records of **source documents**. Examples include the sales day book, the **purchase** day book and the cash book.
- Entries are **posted** from the day books to the **general** (or **nominal**) ledger.
- Accounting packages can update ledgers simultaneously if the ledgers are **integrated**.
- Customer and supplier information which is stored may be subject to **data protection** legislation.

  TRY QUESTIONS 1.18 TO 1.33
- The **journal** is a record of unusual movements between accounts.
- An error of **transposition** occurs when two digits in an amount are recorded the wrong way round.
- An error of **omission** means failing to record a transaction at all.
- An error of **principle** denotes a mistake which breaks the 'rules' of an accounting concept or principle, such as a posting to the wrong type of account.
- Posting to the correct accounts but using the wrong amount is an error of **original entry**.
- Posting an entry to the wrong account is an error of **commission**.

Did you know? – INTRODUCTION TO TRANSACTION ACCOUNTING – CONT'D

- The trial balance is a list of **account balances**.
- The trial balance will detect errors of **transposition**.
- When a trial balance does not balance the difference is temporarily posted to a **suspense account**.
- Corrections involving equal debits and credits are made using a **journal**.
- Postings to the wrong account can be caused by incorrect **coding**.

TRY QUESTIONS 1.34 TO 1.46

- *Possible pitfalls*
  - **Confusing cash and credit transactions**
  - **Confusing trade and cash (or settlement) discounts**
  - **Ignoring sales tax in double entry bookkeeping**
  - **Not being able to distinguish between non-current and current assets**
  - **Not understanding the purpose and format of journals**
  - **Not being certain about debit and credit postings to control accounts**
  - **Not knowing which accounts will normally have a debit balance (such as receivables ledger control) and which will normally have a credit balance (such as payables ledger control).**

  IMPORTANT

  Some accounting systems have a separate receivables and payables ledger and the double-entry posting in the general ledger goes to the receivables ledger or payables ledger control account. Questions which ask you to reconcile the control account balance to the receivables or payables ledger are based on this type of system.

  However, some computerised systems have the receivables and payables ledgers as part of the double entry system, so no separate control account is needed. A question for instance which says that an invoice is posted DR receivables ledger, CR sales, is based upon this type of system. You will be able to tell from the question what is needed, but be aware of the distinction.

1.1 What is the primary function of a credit sales invoice which a customer has received from a supplier?

A It is a receipt for money paid
B It is a demand for immediate payment by the supplier
C It is a record of goods purchased by the customer
D It is a demand for payment within an agreed time from the supplier **(2 marks)**

Approaching the answer

Use this answer plan to construct your answer if you are stuck.

Step 1	If you have never done a Multiple Choice Question (MCQ) before, do not panic! The chances are that you will have done something similar in a magazine quiz or seen a television quiz programme in the same format (eg *Who wants to be a millionaire*). The principle is the same for these MCQs. You are given four possible answers, one is correct and the other three are wrong (distracters).
Step 2	Read the question and work out what is required. Try not to read the possible answers at this stage.
Step 3	Re-read the question and decide on your own answer.
Step 4	Read the four options and see if one matches your own answer. If yes, then select that option.
Step 5	If none of the options matches (or is close to) your answer, adopt the following method. – Re-read the question to ensure that you understand it and are answering the correct requirement – Exclude the obvious wrong answers – Consider which of the remaining answers is the most likely to be correct
Step 6	If you are still in doubt, remember that you will not be penalised for a wrong answer in the exam. You just will not get any marks for a wrong answer. Therefore, if you really do not know, a guess is better than leaving out a question. However, if you are guessing, do not think that as the last few answers have been (a), (b) and (c) that the answer must be (d)! The examiner may well have decided that the correct answer to every question is (a).

Notes

1 In this Kit, if you find that you are guessing the answers to most of the questions, then you need to go back to your Interactive Text and revise.

2 In the exam, you could leave any questions that you are having trouble with and do all the questions that you can answer fairly easily. You should then have time at the end to go back and deal with the problem questions. Remember that you have 2.4 minutes per question. If you spend 2 minutes on each question, this will leave you 20 minutes at the end to go back over troublesome questions.

1.2 Which of the following correctly describes the function of a credit note issued by a supplier to one of its customers?

A A demand for payment
B An agreed allowance which can be deducted from the next invoice payment
C A loan available to the customer
D A document used by the supplier to cancel part or all of a previously issued invoice **(2 marks)**

1.3 Which of the following correctly describes the term 'debit note'?

A It is issued by a supplier to a customer to demand payment in full for goods supplied
B It is issued by a customer to a supplier to request a credit note
C It is issued by a customer when goods are delivered
D It is issued by a customer to a supplier to cancel an invoice received **(2 marks)**

1.4 What is a 'trade discount'?

A A reduction in the amount of an invoice given by the supplier if a customer pays promptly

B A price reduction which a supplier applies to a selection of goods on special offer

C A refund which a supplier agrees with an individual customer after an invoice has been sent at full price

D A reduction in the invoice price by a supplier because of the terms of trade agreed with an individual customer **(2 marks)**

1.5 Which of the following correctly explains sales tax?

A A tax on business profits

B A tax levied on the sale of goods and services which is administered and collected by the government

C A tax levied on the sale of goods and services which is administered by the government

D A tax levied on the sale of goods and services which all businesses must pay **(2 marks)**

1.6 What is the purpose of a remittance advice?

A It provides details of amounts being paid
B It identifies goods that have been received by the business
C It identifies goods that have been despatched by the business
D It provides details of cheques to be issued **(2 marks)**

1.7 The bookkeeper of a business makes the following entries in the books of account:

DR	Office premises	$500,000
CR	Payables	$500,000

These entries record which of the following business transactions?

A The business has taken out a bank loan to refurbish the head office
B The business has paid an outstanding invoice for repairs to office premises
C The business has purchased a non-current asset on credit
D The business has purchased a non-current asset for cash **(2 marks)**

1.8 X Co purchases goods with a list price of $100,000 subject to a 5% trade discount. X Co is allowed 2.5% cash discount for payment within 30 days from invoice date. Assuming the discount is taken, how much will X pay? (Ignore sales tax).

A $92,625
B $102,375
C $97,500
D $95,000 **(2 marks)**

1.9 X starts a business with $50,000 cash, buying inventory $10,000 from cash and paying business expenses of $1,000. Inventory is purchased on credit for $5,000. Following these transactions, what is the capital of X's business?

A $39,000
B $49,000
C $50,000
D $54,000 **(2 marks)**

1.10 A business receives an accountant's bill for $500. Which of the following statements correctly shows the effect upon the accounting equation of the business, assuming the bill is unpaid?

A Assets decrease, liabilities increase
B Capital decreases, liabilities increase
C Capital increases, liabilities decrease
D Assets decrease, capital decreases **(2 marks)**

1.11 Which of the following statements concerning a debit entry is correct?

A It records a decrease in assets
B It records a business expense
C It records a sale
D It records an increase in the liabilities of a business **(2 marks)**

1.12 Which of the following statements concerning credit entries is correct?

A Credit entries record decreases in capital or liabilities
B Credit entries record increases in assets
C Credit entries record increases in profits
D Credit entries record increases in expenses **(2 marks)**

1.13 Which of the following correctly records the repayment of a loan of $10,000 plus outstanding interest $500?

A Assets – $10,500, capital – $10,500
B Assets + $10,500, Liabilities + $10,500
C Assets – $10,500, Liabilities – $10,000, Expenses + $500
D Assets – $10,500, Liabilities – $10,500 **(2 marks)**

1.14 A trade receivable is?

A A person owing money to the business in return for goods supplied

B A person to whom the business owes money in return for goods supplied

C A person to whom the business owes money which was lent to finance the trading operations of the business

D A person who has purchased goods from the business **(2 marks)**

1.15 Which of the following is an example of an item of revenue expenditure?

A Insurance of goods in transit to customers
B Import duties charged on a new non-current asset for the business
C Delivery and installation costs of a new non-current asset
D A new delivery van **(2 marks)**

1.16 A business buys a machine for $500 (cash) and pays machinery insurance $50 (cash). Which of the following shows the correct double entry for this transaction?

A Debit machinery $550, credit cash $550
B Debit cash $550, credit machinery $550
C Debit machinery $500, credit cash $550, debit insurance $50
D Debit cash $550, credit machinery $500, credit insurance $50 **(2 marks)**

1.17 Which of the following statements is correct?

A Sales invoices are recorded in the sales returns daybook and are summarised and posted to the receivables ledger

B Purchase invoices are recorded in the purchase daybook and are summarised and posted to the payables ledger

C Cash received is recorded in the cash book and posted to the journal

D Adjustments to the financial statements are recorded in the cash book and summarised and posted to the general ledger **(2 marks)**

1.18 Which of the following is an example of a prime record originating outside the business?

A The cash book
B The bank statement
C The sales day book
D The purchase returns day book **(2 marks)**

1.19 Y Co keeps a receivables ledger control account as part of its accounting system. Invoices totalling $5,000 are raised in March and customers pay cash $3,000 for invoices having face values of $3,100 (discount $100). Which of the following entries correctly record these transactions?

A Debit receivables ledger control $5,000, credit sales $5,000, debit cash $3,000, credit discount allowed $100, credit receivables ledger control $3,000

B Debit receivables ledger control $5,000, credit sales $5,000, debit cash $3,000, credit receivables ledger control $3,100, debit discount allowed $100

C Debit sales $5,000, credit receivables ledger control $5,000, debit cash $3,000, debit discount allowed $100, credit receivables ledger control $3,100

D Debit receivables ledger control $5,000, credit sales $5,000, debit cash $3,000, credit receivables ledger control $3,000 **(2 marks)**

1.20 In the receivables ledger of X Co, the account of Y Co has a credit balance of $5,000. Which of the following is a plausible explanation for this?

A Y Co has been sent an invoice for $5,000
B Y Co has supplied goods to X Co and these have been correctly recorded by X Co
C Y Co has paid X Co $5,000 twice in error
D Y Co has an overdue balance of $5,000 owing to X Co **(2 marks)**

1.21 Which of the following statements concerning the receivables ledger control account is **incorrect**?

A It helps to ensure that all transactions with customers have been correctly recorded

B It makes the detection of errors easier

C It helps to reduce the chance of a fraud in relation to transactions between the business and its customers

D It ensures that errors cannot occur in relation to transactions between the business and its customers **(2 marks)**

1.22 A sales tax registered business sells goods $1,200 plus $240 sales tax and purchases goods costing $200 plus sales tax $40. Assuming these are the only transactions in the sales tax period and that input tax is fully recoverable, how much sales tax is due/payable to/from the government?

A Payable $200
B Recoverable $200
C Payable $240
D Payable $280 **(2 marks)**

1.23 Which of the following statements is correct?

A Output tax charged to a customer is debited to the sales tax account

B A machine is purchased for $200 plus sales tax $40. The machinery account is debited with $200 and the sales tax account debited with $40. The sales tax is irrecoverable

C If the sales tax account has a debit balance at the end of the sales tax quarter, the balance is recoverable from the government

D The sales figure in the statement of profit or loss of a sales tax registered business includes sales tax **(2 marks)**

1.24 Accounts are classified according to the nature of the transactions which are recorded in them. Which of the following classifications is **incorrect**?

A Insurance is recorded in a general ledger account
B Rents received are recorded in a general ledger account
C Sales transactions with individual customers are recorded in a personal ledger
D Control accounts are kept in the personal ledgers **(2 marks)**

1.25 Which of the following statements explains the term 'memorandum account'?

A One used for the correction of errors
B One use to record transactions between the business and its proprietor(s)
C An account used to record information, which does not form part of the double entry system
D An account used to summarise transactions before they are posted to the ledgers
(2 marks)

1.26 A machine (cost $5,000) is bought on credit. Subsequently, $1,000 of the debt is paid by cheque. Which of the following correctly records the transactions?

A Debit payables $5,000, credit machine $5,000. Debit bank $1,000, credit payables $1,000
B Debit payables $5,000, credit machine $5,000. Debit payables $1,000, credit bank $1,000
C Debit machine $5,000, credit payables $5,000. Debit bank $1,000, credit payables $1,000
D Debit machine $5,000, credit payables $5,000. Debit payables $1,000, credit bank $1,000
(2 marks)

1.27 The total of a discounts allowed column in a cash book is? (assume a control account is kept)

A Credited to discounts allowed and debited to sales
B Debited to sales and credited to cash
C Debited to discount allowed and credited to receivables ledger control account
D Debited to cash and credited to sales **(2 marks)**

1.28 A firm keeps an analysed cash book containing discount received and allowed columns. At the end of an accounting period discounts received totalled $525 and discounts allowed $326. Which of the following correctly shows the treatment of these totals?

A Debit discount received $525, credit discount allowed $326
B Debit discount allowed $525, credit discount received $326
C Credit discount received $199
D Debit discount allowed $326, credit discount received $525 **(2 marks)**

1.29 Returns outwards are recorded in which prime entry record?

A Sales returns day book
B The journal
C The cash book
D The purchase returns day book **(2 marks)**

1.30 Credit notes sent out are recorded in which prime entry record?

A Sales returns day book
B General ledger
C Sales day book
D Purchase returns day book **(2 marks)**

1.31 Which of the following should appear on the credit side of a suppliers account in the payables ledger?

A Payments made
B Discounts allowed
C Discounts received
D Purchase invoices received **(2 marks)**

1.32 The following entries appear in a cash account in March.

	$
Payments by customers	15,000
Rents received	250
Insurance paid	150
Drawings	700
Capital paid in	2,000

The balance at 1st March was $2,000 (in hand) what was the closing balance at 31st March?

A $14,400
B $18,400
C $15,800
D $10,400 **(2 marks)**

1.33 Which of the following statements concerning journal entries is correct?

A All journal entries are made for routine transactions and as such need not be authorised
B Journal entries are used exclusively for the correction of errors
C The journal is a ledger account in the accounting system of a business
D All journal entries must have a narrative explanation **(2 marks)**

1.34 What is a trial balance?

A A list of ledger balances extracted from customer accounts

B A list of ledger balances extracted from accounts which helps to ensure that the bookkeeping has been accurate

C An accounting document which a business must prepare

D A list of all the transactions which have occurred in a period taken from ledger accounts **(2 marks)**

1.35 Which of the following statements is correct?

A The balance on a bank loan account will appear in the debit column of a trial balance
B The sales returns account balance will appear in the credit column of a trial balance
C Loan interest paid will appear in the debit column of a trial balance
D Purchase returns will appear in the debit column of a trial balance **(2 marks)**

1.36 What is the correct explanation of a 'control total'?

A A total which is used to ensure that no errors are present in data input to an accounting system

B A total which is used to make sure the value of transactions processed agrees to a total previously calculated

C An amount posted to a control account

D The totals of a trial balance which should then agree to each other **(2 marks)**

1.37 The following balances have been taken from the trial balance of XYZ. What is the trial balance total on the debit side?

	$
Rent paid	1,800
Capital	15,000
Purchases	10,000
Sales	12,000
Wages	5,000
Sundry expenses	1,000
Cash	9,200

A $26,000
B $29,000
C $42,000
D $27,000 **(2 marks)**

1.38 Which of the following is an example of an error of commission (assuming a control account is not kept)?

A A receipt of $25 from J. Gee entered in G. Jay's account as a credit and debited to cash
B A purchase of cleaning materials recorded as DR cash $50, CR cleaning materials $50
C An invoice for $1,300 is lost and not recorded at all
D An invoice for $2,500 sales is posted as $2,050 **(2 marks)**

1.39 Which of the following errors would be a possible reason for a trial balance failing to agree?

A Sales $500 entered correctly, but entered as $1,500 in the receivables ledger control account
B A purchase of $550 on credit not being recorded
C Cash wages being recorded as debit: cash $250, credit: wages $250
D An asset purchase $750 being recorded as debit: machinery repairs $750, credit: cash $750
(2 marks)

1.40 Which of these would be an error of principle?

A Plant and machinery purchased was credited to an assets account
B Plant and machinery purchased was debited to the purchases account
C Plant and machinery purchased was debited to the equipment account
D Plant and machinery purchased was debited to the correct account but with the wrong amount
(2 marks)

1.41 A suspense account shows a credit balance of $130. What could this be due to?

A Omitting a sale of $130 from the receivables ledger

B Recording a purchase of $130 twice in the purchases account

C Failing to write off an irrecoverable debt of $130

D Recording an electricity bill paid of $65 by debiting the bank account and crediting the electricity account **(2 marks)**

1.42 What type of information is regulated by Data Protection legislation?

A Information about individuals
B Master files
C Archived business ledgers
D Business accounts **(2 marks)**

1.43 Which of the following are appropriate ways of dealing with sensitive or confidential business documents that are no longer needed?

(i) Microfilm or microfiche for long-term storage
(ii) Archiving documents for storage
(iii) Secure destruction
(iv) It can be thrown away

A (i) only
B (i) and (ii) only
C (i), (ii) and (iii) only
D (i), (ii), (iii) and (iv) **(2 marks)**

1.44 Which of the following statements in relation to computerised data entry is/are true?

1 Automatic data entry such as scanning avoids transcription errors.

2 Computerisation avoids data entry errors caused by malicious intent on the part of staff.

	Statement 1	*Statement 2*
A	Correct	Correct
B	Correct	Incorrect
C	Incorrect	Correct
D	Incorrect	Incorrect

(2 marks)

1.45 What is the term for a computer program that deals with one particular part of a business accounting system?

A Package
B Suite
C Module
D Software **(2 marks)**

(2 marks per question = 90 marks)

Do you know? – RECORDING AND ACCOUNTING FOR CASH TRANSACTIONS

Check that you can fill in the blanks in the statements below before you attempt any questions. If in doubt, you should go back to your BPP Interactive Text and revise first.

- A …………………….. shows which invoices a payment covers.
- A receipt is a document given by the seller to the ………. when goods change hands in exchange for …………. .
- Payment for goods sold can be made by ………, …………. or ………………….. . Other types of payment by customers include banker's draft, …………. order and……… debit.
- Internet payments are made using ………… cards and ………….. cards or by ……………….

  TRY QUESTIONS 2.1 TO 2.5
- Clearing is the mechanism for obtaining ………… for cheques.
- Security procedures when banking cash should include ……. the time of the visit to the bank, varying the ………………….. taking the money there, sending more than one person and using a ………… firm.

  TRY QUESTIONS 2.6 TO 2.10
- ……………………..…… help to control cash receipts by checking the business cash book to the bank statement.
- Cash receipts are posted from the cash book to the ………………… .
- An analysed cash book is a book of ………. entry.

  TRY QUESTIONS 2.11 TO 2.15
- Controls over payments will include …………………. of the payment, cheque requisition forms and …………….. documents.
- An ………………………… is used to reimburse employees' expenses.
- Payment can be made in the same ways that the business receives monies for goods sold. Of particular importance are cheques and ……… .

  TRY QUESTIONS 2.16 TO 2.23
- When recording payments, an analysed cash book is used to split payments between sales tax, payments to suppliers, expenses, discounts …………., cash purchases and petty cash.
- Totals are posted from the ……. book to the general ledger.

  TRY QUESTIONS 2.24 TO 2.29
- Petty cash should be used for ……… items of expense.
- Petty cash must be kept secure and all payments must be properly ………….. .
- An …………. system has a maximum amount of money in petty cash, usually enough to cover payments for about one month.
- Petty cash transactions are recorded and analysed in the ………….. book.

  TRY QUESTIONS 2.30 TO 2.35
- A ……………………….. compares the balance of cash in the business records to the balance held by the bank.
- Any errors or ……………. found should be adjusted in the cash book.
- The corrected balance in the cash book should be reconciled to the balance on the bank statement by taking account of ……… differences.

  TRY QUESTIONS 2.36 TO 2.41
- *Possible pitfalls*

  Write down the mistakes you know you should avoid.

Did you know? – RECORDING AND ACCOUNTING FOR CASH TRANSACTIONS

Could you fill in the blanks? The answers are in bold. Use this page for revision purposes as you approach the exam.

- A **remittance advice** shows which invoices a payment covers.
- A receipt is a document given by the seller to the **buyer** when goods change hands in exchange for **payment**.
- Payment for goods sold can be made by **cash**, **cheque** or **credit card**. Other types of payment by customers include banker's draft, **standing** order and **direct** debit.
- Internet payments are made using **credit** cards and **debit** cards or by **direct transfer**.

  TRY QUESTIONS 2.1 TO 2.5
- Clearing is the mechanism for obtaining **payment** for cheques.
- Security procedures when banking cash should include **varying** the time of the visit to the bank, varying the **member of staff** taking the money there, sending more than one person and using a **security** firm.

  TRY QUESTIONS 2.6 TO 2.10
- **Bank reconciliations** help to control cash receipts by checking the business cash book to the bank statement.
- Cash receipts are posted from the cash book to the **general ledger**.
- An analysed cash book is a book of **prime** entry.

  TRY QUESTIONS 2.11 TO 2.15
- Controls over payments will include **authorisation** of the payment, cheque requisition forms and **supporting** documents.
- An **expenses claim form** is used to reimburse employees' expenses.
- Payment can be made in the same ways that the business receives monies for goods sold. Of particular importance are cheques and **BACS**.

  TRY QUESTIONS 2.16 TO 2.23
- When recording payments, an analysed cash book is used to split payments between sales tax, payments to payables, expenses, discounts **received**, cash purchases and petty cash.
- Totals are posted from the **cash** book to the general ledger.

  TRY QUESTIONS 2.24 TO 2.29
- Petty cash should be used for **small** items of expense.
- Petty cash must be kept secure and all payments must be properly **authorised**.
- An **imprest** system has a maximum amount of money in petty cash, usually enough to cover payments for about one month.
- Petty cash transactions are recorded and analysed in the **petty cash** book.

  TRY QUESTIONS 2.30 TO 2.35
- A **bank reconciliation** compares the balance of cash in the business records to the balance held by the bank.
- Any errors or **omissions** found should be adjusted in the cash book.
- The corrected balance in the cash book should be reconciled to the balance on the bank statement by taking account of **timing** differences.

  TRY QUESTIONS 2.36 TO 2.41
- *Possible pitfalls*
  - **Forgetting that all the ways of receiving money can also be used to make payments.**
  - **Bank reconciliations are important as there may be computational questions in the exam.**
  - **Ignoring controls procedures. Exam questions often ask about these.**
  - **Ignoring sales tax.**

2.1 Which of the following is not a method of payment by a customer?

A A cheque
B A cheque guarantee card
C A credit card
D A debit card **(2 marks)**

2.2 Which of the following combinations describe acceptable forms of security procedures for cash banking?

(i) Night safes
(ii) Frequent banking at the same time
(iii) Security firm's collections
(iv) Banking by cashiers

A (i), (ii), (iii)
B (i), (iii)
C (ii), (iii), (iv)
D (i), (iv) **(2 marks)**

2.3 Assume you are selling goods, which have a high value, to a customer. Which of the following methods of payment is most secure?

A A credit card
B A credit sale
C A cheque
D A banker's draft **(2 marks)**

2.4 Which of the following features on a cheque guarantee card should be in agreement with a cheque tendered by a customer?

(i) Amount guaranteed
(ii) Customer name/signature
(iii) Account number
(iv) Bank sort code

A (ii), (iii), (iv)
B (i), (ii), (iv)
C (i), (ii), (iii), (iv)
D (i), (ii), (iii) **(2 marks)**

2.5 Which of the following describes the features of an EFTPOS system?

A The organisation can invoice its bank, electronically, for the value of goods sold in a trading period

B EFTPOS acts as a form of on line validation of cheques rendered by customers

C Funds are transferred automatically from a customer's bank account to the organisation's bank, when goods are purchased

D EFTPOS system will initiate a payment to the organisation at the end of a trading period

(2 marks)

2.6 When a customer deposits cash at a bank, what is the nature of the contractual relationship?

A Receivable/Payable
B Bailor/Bailee
C Principal/Agent
D Mortgagor/Mortgagee **(2 marks)**

2.7 Which of the following is **not** a duty which a customer owes to a bank?

A To check statements received from the bank
B To inform banks when a cheque book is stolen or lost
C To repay overdrafts on demand if required
D To operate their account with care to minimise the risk of fraud **(2 marks)**

2.8 As a general rule, banks must keep customers' affairs confidential. Which of the following is **not** a valid reason for disclosure?

A When a customer has given permission to a third party to obtain a 'bankers reference'
B When there is a public duty to make disclosure
C When the bank suspects the customer is engaged in illegal activities
D When disclosure is specifically required by statute **(2 marks)**

2.9 What is the bank clearing system?

A It is the mechanism for obtaining payment for cheques
B It moves cash between banks
C It sets credit levels for banks' business customers
D It arranges long term loans for bank customers **(2 marks)**

2.10 Which of the following are reasons for a bank returning or dishonouring a cheque?

(i) Words and figures differ
(ii) Cheque less than guaranteed amount
(iii) Cheque and guarantee card stolen
(iv) Cheque unsigned

A (i), (ii), (iii), (iv)
B (i), (iii), (iv)
C (i), (ii), (iv)
D (ii), (iii), (iv) **(2 marks)**

2.11 Which of the following items will appear in the firm's cash book?

A Irrecoverable debts written off
B Receipts from the sale of surplus equipment
C Credit notes
D Sales invoices **(2 marks)**

2.12 Which of the following correctly records discount received?

(i) DR discount received
(ii) CR discounts received
(iii) DR suppliers' accounts
(iv) CR suppliers' account

A (ii), (iii)
B (i), (iv)
C (ii), (iv)
D (i), (iii) **(2 marks)**

2.13 During March, a business has the following transactions. Credit sales $15,000, receipts from customers $10,000, discounts allowed $500. Which of the following entries correctly record these transactions?

(i) DR sales $15,000, CR receivables control $15,000
(ii) DR bank $10,000, CR receivables control $10,000
(iii) DR discounts allowed $500, CR receivables control $500
(iv) CR sales $15000, DR receivables control $15,000

A (i), (ii), (iii)
B (ii), (iii), (iv)
C (i), (iii), (iv)
D (ii), (iv) **(2 marks)**

2.14 What is the purpose of an analysed cash book?

A To record sales and purchases

B To ensure petty cash payments are recorded correctly

C To record entries from the bank statements received by the organisation from its bank

D To ensure that receipts and payments are summarised under suitable headings for posting purposes **(2 marks)**

2.15 In a computerised receivables ledger, which of the following is classified as variable data in a customer account?

A Account number
B Account balance
C Credit limit
D Customer name **(2 marks)**

2.16 Which of the following is **not** an example of a control over payments made by an organisation?

A Scrutiny of adverse spending variances on a budget report
B Ensuring each request for payment is supported by documentary evidence
C Making sure each payment is authorised
D Limiting the authority of persons approving payments **(2 marks)**

2.17 Which of the following is **not** a valid reason for using a cheque requisition form to initiate a payment?

A Some suppliers do not issue invoices
B The accounts department has lost the invoices
C The invoice has not been received but the supplier must be paid immediately
D It is necessary to send a cheque with the order for suppliers **(2 marks)**

2.18 What is a bank mandate form?

A This is an instruction to a bank to make a payment direct to a supplier
B A list of personnel within a company authorised to sign cheques
C Names and specimen signatures of individuals authorised to sign cheques supplied to a bank
D A request to open a bank account **(2 marks)**

2.19 Which of the following statements concerning direct debit payments is correct?

A They appear on the bank statement and need not be entered in the cash book
B They are initiated by the paying company
C They are picked out from the bank statement and recorded in the cash book
D They are totalled at the year end and entered in the cash book as an annual figure at the year end **(2 marks)**

2.20 Which of the following is a characteristic of a banker's draft?

A It can be stopped after issue
B It is signed by the directors of the company making the payment
C It is a secure form of payment for the recipient
D It provides a cheap source of finance for high value purchases **(2 marks)**

2.21 Which of the following is **not** a characteristic of a standing order?

A Used to make regular payments from an account
B The payment amount is fixed
C The recipient of the payment initiates each payment
D The amount of the payment can be varied **(2 marks)**

2.22 What is a 'pro forma' invoice?

A This is a document provided by a supplier to acknowledge an order
B A document which is provided by a supplier where payment with order is required
C A document which is issued when the purchaser and supplier have not finally settled a price
D One used for export sales **(2 marks)**

2.23 What is a 'remittance advice'

A A document which is sent to a supplier containing detailed delivery instructions

B A document used to confirm a telephone order

C A document sent with a payment explaining what a payment represents

D A document prepared by a supplier on a regular basis listing the outstanding amounts and payments received in the most recent trading period **(2 marks)**

2.24 Which of the following is the term used to describe the deployment of staff so that no one person has overall control over financial transactions?

A Prevention of error
B Segregation of duties
C Prevention of fraud
D Internal check **(2 marks)**

2.25 Which of the following statements, concerning payments to credit suppliers recorded in the cash book, is correct?

A They are analysed according to the type of payment

B They are entered on the debit side of the cash book

C The amount after discounts allowed is entered in the cash book and discounts allowed are entered in a separate column

D The amount after discounts received is entered in the cash book and discounts received are entered in a separate column **(2 marks)**

2.26 You receive a cheque from a customer in payment which is banked. The cheque is then returned as unpaid. What is the correct accounting entry for this (assuming you take no other action)?

A Debit your cash book and observe a debit on your bank statement
B Credit your cash book and observe a credit on your bank statement
C Identify a debit on your bank statement and make a credit entry in the cash book
D Identify a credit on your bank statement and make a debit entry in the cash book **(2 marks)**

2.27 Which of the following are characteristics of a direct debit?

(i) Used for regular payments
(ii) Recipient initiates each payment
(iii) Amount of each payment is fixed
(iv) Direct debit instruction is sent by company to supplier

A (i), (ii)
B (ii), (iv)
C (i), (ii), (iii)
D (i), (ii), (iv) **(2 marks)**

2.28 Which of the following is an example of a payment which is most appropriate for settlement using BACS?

A Paying a regular sum to a supplier
B Paying a regular, but variable sum to a supplier
C Paying wages and salaries to employees
D Making irregular payments to overseas suppliers **(2 marks)**

2.29 Which of the following describes the term 'petty cash'?

A Small payments in cash not dealt with through the business bank account
B A small float accessible by all members of staff for minor expenditure
C Used to reimburse employees for expenditure undertaken for business purposes
D Expenditure not subject to limits **(2 marks)**

2.30 Which of the following is an example of a payment which could be made out of petty cash? (The petty cash float is $100.)

A Payment of an employee's parking fine whilst on company business – $25
B Purchase of a concrete mixer – $275
C The first instalment of a lease agreement ($15 per month) for office equipment
D Purchase of postage stamps – $7.57 **(2 marks)**

2.31 A petty cash imprest is $500. A spot check by the auditors of the petty cash revealed cash in hand of $45. In addition valid vouchers to the value of $395 were produced by the cashier. How much cash is missing?

A $60
B $455
C $395
D $350 **(2 marks)**

2.32 Your company has a petty cash imprest of $750, this is to be increased to $800. At the end of the month the cash in hand was $57 and receipts and vouchers totalled $673. In addition the cash box contained an IOU from a member of staff for $20. How much cash is withdrawn from the bank to restore and increase the imprest?

A $723
B $800
C $743
D $653 **(2 marks)**

2.33 A petty cash purchase is made costing $79.20, inclusive of sales tax at 20%. Which of the following entries is correct?

A DR expense $66.00, DR sales tax $13.20 CR cash $79.20
B DR cash $79.20, CR sales tax $13.20, CR expense $66.00
C DR expense $63.36, DR sales tax $15.84, CR cash $79.20
D DR cash $79.20, CR sales tax $15.84, CR expense $63.36 **(2 marks)**

2.34 Which of the following items will **not** appear on a petty cash voucher?

A Purpose of the expenditure and details
B Name and signature of petty cashier
C Name and signature of recipient
D Name and signature of person authorising payment **(2 marks)**

2.35 Which of the following items would be revealed when a bank reconciliation is performed? (Identify all the items.)

(i) Unpresented cheques
(ii) Missing cheques
(iii) Standing orders
(iv) Direct debits
(v) Interest and charges

A (i), (ii), (iii), (iv)
B (i), (iii), (iv), (v)
C (i), (iii), (iv)
D (i), (ii), (v) **(2 marks)**

2.36 Which of the following correctly defines a 'bank statement'?

A A statement produced to agree the balance at bank with the cash book balance for a business

B One sent to customers of a bank itemising the account balances, payments and receipts for an account in a month

C A record showing the cash balance of a business

D An analysis of payments and receipts for a business **(2 marks)**

2.37 XYZ has a bank statement showing an overdrawn balance of $300. The cash book shows a balance in hand of $25, interest charged was $30 which had not been recorded in the cash book. There were no unpresented cheques. How much was the total of undeposited receipts cheques?

A $245
B $325
C $295
D $355 **(2 marks)**

2.38 The cash book of XYZ showed a balance in hand of $900. The bank statement showed a credit balance of $1,100. Cheques paid in but not yet credited to the bank statement were $250. The unpresented cheques amounted to?

A $450
B $50
C $250
D $200 **(2 marks)**

2.39 Which of the following will **not** appear in a bank reconciliation statement?

A Unpresented cheques
B Undeposited receipts
C Journal entries
D Bank errors **(2 marks)**

2.40 Which of the following are appropriate documents to send with a payment, to inform the recipient what the payment is for and who it is from?

(i) Remittance advice
(ii) Bank giro credit form
(iii) Covering letter
(iv) Cheque requisition form

A (i) and (ii) only
B (iii) and (iv) only
C (i), (ii) and (iii) only
D (i), (ii), (iii) and (iv) **(2 marks)**

2.41 When a business or an individual hands over cash to be paid into their bank account which of the following documents should be prepared?

A Cheque
B Standing order
C Paying-in slip
D Direct debit **(2 marks)**

(2 marks per question = 82 marks)

Do you know? – RECORDING AND ACCOUNTING FOR CREDIT TRANSACTIONS

Check that you can fill in the blanks in the statements below before you attempt any questions. If in doubt, you should go back to your BPP Interactive Text and revise first.

- The sales day book is used to keep a list of all the ……………. and ……………. sent out to customers each day.
- The entries in the day books are posted to ……………. accounts in the receivables ledger.
- The double entry is completed by posting the daily totals from the day books. Sales day book totals are posted DR Receivables control account, CR ……………. The sales returns day book totals are posted DR Returns inwards, CR Receivables control account.
- If the business is sales tax registered, sales tax will need to be accounted for. The sales day book postings would be DR Receivables control account, CR Sales (net of sales tax), CR sales tax account.
- The ……………. ledger contains the individual personal accounts showing what each customer owes to the business.
- Control is kept over the receivables ledger by comparing the totals of the individual accounts with the balance on the receivables control account.
- An ……………. of receivables breaks down the receivable balances on the receivables ledger into different periods of outstanding debt.
- Old debts may be written off to …………………………….

  TRY QUESTIONS 3.1 TO 3.7
- The purchase day book is used to keep a list of all the invoices received from ……………. of goods and services to the business.
- The purchase returns day book is used to keep a list of all ……………………. received from suppliers.
- The purchase day book will ……………. all invoices between different types of purchase and expenses.
- The entries in the day books are posted to ……………. accounts in the payables ledger.
- The double entry is completed by posting the daily totals from the day books. Purchase day book totals could be posted DR Purchases, DR Expenses, DR Non-current, DR sales tax, CR Payables control account.
- The personal accounts, showing how much is owed to each supplier, are contained in the ……………. ledger.
- ……………. payables consist of those liabilities which relate to the trade of the business.
- Other payables include ………………………………………………………………………………… and …………………………….
- An age analysis of payables lists payables balances, analysed between different 'ages' of debt.
- ……………. entries offset balances on the receivables and payables ledgers which are in the names of the same individual.

  TRY QUESTIONS 3.8 TO 3.10
- Control accounts act as an …………………………… on the accuracy of the accounting records.
- Control account ……………. should be carried out at regular intervals.
- The ……………………. control account provides a check on the accuracy of postings made to the personal accounts in the receivables ledger.
- The ……………. control account provides a check on the accuracy of postings made to the personal accounts in the payables ledger.

  TRY QUESTIONS 3.11 TO 3.18
- *Possible pitfalls*

  Write down the mistakes you know you should avoid.

Did you know? – RECORDING AND ACCOUNTING FOR CREDIT TRANSACTIONS

Could you fill in the blanks? The answers are in bold. Use this page for revision purposes as you approach the exam.

- The sales day book is used to keep a list of all the **invoices** and **credit notes** sent out to customers each day.
- The entries in the day books are posted to **personal** accounts in the receivables ledger.
- The double entry is completed by posting the daily totals from the day books. Sales day book totals are posted DR Receivables control account, CR **sales**. The sales returns day book totals are posted DR Returns inwards, CR Receivables control account.
- If the business is sales tax registered, sales tax will need to be accounted for. The sales day book postings would be DR Receivables control account, CR Sales (net of sales tax), CR sales tax account.
- The **receivables** ledger contains the individual personal accounts showing what each customer owes to the business.
- Control is kept over the receivables ledger by comparing the totals of the individual accounts with the balance on the receivables control account.
- An **age analysis** of receivables breaks down the receivable balances on the receivables ledger into different periods of outstanding debt.
- Old debts may be written off to **bad (irrecoverable) debts**.

  TRY QUESTIONS 3.1 TO 3.7
- The purchase day book is used to keep a list of all the invoices received from **suppliers** of goods and services to the business.
- The purchase returns day book is used to keep a list of all **credit notes** received from suppliers.
- The purchase day book will **analyse** all invoices between different types of purchase and expenses.
- The entries in the day books are posted to **personal** accounts in the payables ledger.
- The double entry is completed by posting the daily totals from the day books. Purchase day book totals could be posted DR Purchases, DR Expenses, DR Non-current, DR sales tax, CR Payables control account.
- The personal accounts, showing how much is owed to each supplier, are contained in the **payables** ledger.
- **Trade** payables consist of those liabilities which relate to the trade of the business.
- Other payables include **wages and salaries**, **income tax**, **sales tax**, **company tax**, **non-current assets**, **overhead expenses** and **bank loans and overdrafts**.
- An age analysis of payables lists payables balances, analysed between different 'ages' of debt.
- **Contra** entries offset balances on the receivables and payables ledgers which are in the names of the same individual.

  TRY QUESTIONS 3.8 TO 3.10
- Control accounts act as an **internal check** on the accuracy of the accounting records.
- Control account **reconciliations** should be carried out at regular intervals.
- The **receivables** control account provides a check on the accuracy of postings made to the personal accounts in the receivables ledger.
- The **payables** control account provides a check on the accuracy of postings made to the personal accounts in the payables ledger.

  TRY QUESTIONS 3.11 TO 3.18
- *Possible pitfalls*
  - **Ignoring sales tax.**
  - **Ignoring double entry bookkeeping – exam questions are set on the double entry postings.**

3.1 XYZ Co has the following balances extracted from its returns inwards day book for a month. Total (inc sales tax) $36,000, sales tax $6,000, net $30,000. Which is the correct posting?

A DR sales returns $30,000, DR sales tax $6,000, CR receivables ledger control $36,000
B DR purchase returns $30,000, DR sales tax $6,000, CR payables ledger control $36,000
C DR sales returns $36,000, CR sales tax $6,000, CR receivables ledger control $30,000
D DR purchase returns $36,000, CR sales tax $6,000, CR payables ledger control $30,000

(2 marks)

3.2 What is meant by the term 'integrated receivables ledger'?

A Double entry processes no longer operate because this is an example of a computerised system

B Separate personal accounts are no longer maintained, control accounts only are kept

C Customer accounts are part of the double entry; general ledger and receivables ledger postings are combined

D Customer and suppliers accounts are combined in one integrated ledger **(2 marks)**

3.3 Which of the following combinations correctly describes the need for personal accounts for customers in a business?

(i) To deal with customer queries
(ii) To prepare statements
(iii) To monitor customer credit limits
(iv) To match cash received with invoices

A (i), (ii), (iii)
B (ii), (iii), (iv)
C (i), (iii), (iv)
D (i), (ii), (iii), (iv) **(2 marks)**

3.4 Which of the following is a valid reason for a debt being written off as irrecoverable?

A The customer has ceased trading
B The customer disputes the quality of goods supplied
C The customer has exceeded the account credit limit
D The customer has ceased trading and no dividend is expected from a liquidation

(2 marks)

3.5 Irrecoverable debts written off appear in the financial statements as?

A An expense in the statement of financial position
B An expense in the statement of profit or loss
C A deduction from sales revenue
D A deduction from the receivables figure in the statement of financial position **(2 marks)**

3.6 What is an 'aged debt analysis'?

A An analysis of the length of time customers have traded with the business

B A summary of transactions on customers' accounts

C The total debt on the receivables ledger is broken down into different elements of outstanding debt according to pre determined time periods usually 30, 60, 90 days

D An analysis of all debts overdue for payment **(2 marks)**

3.7 How will a payables ledger control account appear in the financial statements?

A An asset
B A liability
C An item of revenue in the statement of profit or loss
D An expense in the statement of profit or loss **(2 marks)**

3.8 Why is a personal account for a supplier kept?

A To facilitate payments to receivables
B To ensure the accounts are paid in full
C To check the amount due agrees to a statement received from the supplier, prior to payment
D To ensure discounts allowed are taken **(2 marks)**

3.9 Which of the following could create a debit balance on an account in the payables ledger?

A An underpayment to a supplier
B A duplicate payment of a supplier's account
C Trade discount received
D An overcharge on a supplier's invoice **(2 marks)**

3.10 A credit controller wishing to decide which debts need to be chased up would refer to which of the following?

A Age analysis of payables
B Age analysis of receivables
C Bank reconciliation
D Receivables control account **(2 marks)**

3.11 The following entries appeared in the receivables ledger control account for June. Balance b/f 1st June $7,500, sales $20,000, receipts from customers $8,000, discounts allowed $400, irrecoverable debts written off $500. What was the balance at 30th June?

A $3,600
B $19,400
C $19,600
D $18,600 **(2 marks)**

3.12 The following entries appeared in the payables ledger control account for February. Balance b/f 1st February $1,700, purchases $18,000, paid to suppliers $10,000, discount received $1,200, purchase returns $3,000. What was the balance at 28th February ?

A $5,500
B $2,100
C $11,500
D $7,900 **(2 marks)**

3.13 Which of the following items will appear as an item posted to the payables ledger control account?

A Irrecoverable debts written off
B Returns inwards of the period
C Discounts allowed in total in the period
D Discounts received in total in the period **(2 marks)**

3.14 A business maintains a receivables ledger control account. A debt of $1,500 is to be written off. Which of the following entries is correct (ignore sales tax)?

A Debit: personal account of the customer, credit: irrecoverable debts expense, $1,500
B Debit: irrecoverable debts expense, credit: receivables ledger control, $1,500
C Debit: receivables ledger control, credit: irrecoverable debts expense, $1,500
D Debit: irrecoverable debts expense, credit: personal account of the customer, $1,500
(2 marks)

3.15 A document sent to customers at the end of a month to show the transactions that have occurred and the amount owed is know as what?

A Sales analysis
B Age analysis of receivables
C Statement of account
D Receivables control account **(2 marks)**

3.16 If a purchase return of $48 has been wrongly posted to the debit of the sales returns account, but has been correctly entered in the supplier's account, the total of the trial balance would show:

A The credit side to be $48 more than the debit side
B The debit side to be $48 more than the credit side
C The credit side to be $96 more than the debit side
D The debit side to be $96 more than the credit side **(2 marks)**

3.17 Which of the following acts as an internal check, or internal control, in the maintenance of accurate accounting records:

(i) Trial balance
(ii) Bank reconciliation
(iii) Control account reconciliation
(iv) Segregation of duties

A (i) and (ii) only
B (iii) and (iv) only
C (i), (ii) and (iii) only
D (i), (ii), (iii) and (iv) **(2 marks)**

3.18 Which of the following appears on the credit side of a purchase ledger control account:

A Purchases and other expenses
B Cash paid
C Discounts received
D Returns outwards to suppliers **(2 marks)**

(2 marks per question = 36 marks)

Do you know? – PAYROLL

Check that you can fill in the blanks in the statements below before you attempt any questions. If in doubt, you should go back to your BPP Interactive Text and revise first.

- A payroll is a list of employees and what they are ………….. .
- ……… pay is what the employee earns and … pay is what he actually receives in cash or by transfer to his bank account.
- …….. pay is the rate for the job, before overtime and bonuses.
- Payroll deductions include ………….. deductions (income tax, ………….………….. contributions) and ………….. deductions (pension contributions, savings schemes, trade union subscriptions).
- By law, a payslip must show:
  - Gross pay
  - ……………………..
  - Net pay
  - Employer's name
  - Employee's name
- Wages can be paid automatically to employees by ………… (Bankers Automated Clearing Service).
- Payroll records will come under the provisions of ………………………… legislation.

  TRY QUESTIONS 4.1 TO 4.11
- *Possible pitfalls*

  Write down the mistakes you know you should avoid.

Did you know? – PAYROLL

Could you fill in the blanks? The answers are in bold. Use this page for revision purposes as you approach the exam.

- A payroll is a list of employees and what they are **to be paid**.
- **Gross** pay is what the employee earns and **net** pay is what he actually receives in cash or by transfer to his bank account.
- **Basic** pay is the rate for the job, before overtime and bonuses.
- Payroll deductions include **statutory** deductions (income tax, **benefit** contributions) and **other** deductions (pension contributions, savings schemes, trade union subscriptions).
- By law, a payslip must show:
  - Gross pay
  - **Deductions** (and what they are)
  - Net pay
  - Employer's name
  - Employee's name
- Wages can be paid automatically to employees by **BACS** (Bankers Automated Clearing Service).
- Payroll records will come under the provisions of **data protection** legislation.

  TRY QUESTIONS 4.1 TO 4.11
- *Possible pitfalls*
  - **Assuming payroll doesn't matter**
  - **Ignoring the role of the personnel department**
  - **Not being sure how to calculate the various elements of pay**
  - **Not being sure how to deal with deductions**

4.1 In some jurisdictions employers have a duty to collect what from employees' gross wages and salaries?

A Holiday pay
B Income tax for the self employed
C Income tax for the employed
D Sales tax **(2 marks)**

4.2 The payroll function in a business is important. Why is this? (select from the following options)

(i) Wage costs form a large proportion of total spending in a business
(ii) Employee relations are important
(iii) The company acts as a collector of tax
(iv) Security issues are involved

A (i), (ii), (iv)
B (ii), (iii)
C (iii), (iv)
D (i), (ii), (iii), (iv) **(2 marks)**

4.3 An employee works under a guaranteed minimum piecework system based on output produced. Which of the following explains this?

A Basic pay goes up in proportion to output
B Earnings are the same each pay period
C Basic earnings will increase as output increases above a guaranteed minimum level of earnings
D Under this system the wage cost per unit produced remains constant **(2 marks)**

4.4 Which of the following is an advantage of a piecework system?

A Output will increase and quality will be maintained
B Inspection costs will decrease
C Employees receive the same wage each week
D There is an incentive to work harder **(2 marks)**

4.5 An employee received a guaranteed minimum wage of $50 per week and works on a piecework system where output is paid at $10 per unit. Time worked in excess of 40 hours is paid at $3 per hour. In a given week the employee produced seven units and worked for 45 hours.

What is the employee's gross pay?

A $85
B $65
C $70
D $135 **(2 marks)**

4.6 Each month a company pays its sales staff commission of 3% on all sales up to the value of $100,000 and 5% on all sales over $100,000. In May 20X2 a member of the sales staff made total sales of $125,000. How much commission will she be paid for the month?

A $3,000
B $3,750
C $4,250
D $6,250 **(2 marks)**

4.7 An employee earns $24,000 per annum ($2,000 per month). In May a salary increase was agreed to $26,400 pa, which was backdated to 1st April. In addition, a 2% bonus of basic monthly salary is payable if the company profits exceed a certain figure. The profit threshold was passed for May. What is the employee's gross pay for May?

A $2,244
B $2,444
C $2,040
D $2,440 **(2 marks)**

4.8 Which of the following functions are performed by the personnel department in a large company?

(i) Recruiting and dismissing employees
(ii) Maintaining records of employment
(iii) Employee relations and welfare
(iv) Calculation and payment of wages

A (i) only
B (i) and (ii) only
C (i), (ii) and (iii) only
D (i), (ii), (iii) and (iv) **(2 marks)**

4.9 Which of the following is an example of a non compulsory disclosure on an employee payslip?

A Employee's national insurance number
B Gross pay
C The deductions from gross pay (and what they are for)
D The net pay **(2 marks)**

4.10 The following details have been extracted from the payroll records for the month of May:

	$
Gross wages	25,500
Employer's benefit contribution	1,800
Employer's pension contribution	1,200

What is the correct journal for posting these details to the ledger accounts?

		$	$
A	DR Staff costs	28,500	
	CR Wages control		28,500
B	DR Staff costs	27,300	
	CR Wages control		27,300
C	DR Staff costs	26,700	
	CR Wages control		26,700
D	DR Staff costs	25,500	
	CR Wages control		25,500

(2 marks)

4.11 Which of the following are appropriate controls to help ensure the accuracy of payroll transactions?

(i) Reconciliation of payroll to bank statement and general ledger
(ii) Segregation of duties between payroll preparation and authorising payment
(iii) Cheque payments
(iv) Automated payments

A (i) only
B (i) and (ii) only
C (i), (ii) and (iii) only
D (i), (ii), (iii) and (iv) **(2 marks)**

(2 marks per question = 22 marks)

Answers

1 Introduction to transaction accounting

1.1 D The supplier's terms of trade will state the agreed payment period.

- A The supply is on credit terms not for cash.
- B Normally the supplier will agree to a specified period of credit being allowed to the customer.
- C This is not the main function of a sales invoice.

1.2 D The next payment to the supplier will be the total of invoices due for payment less the credit note.

- A An invoice is used to request payment.
- B This would refer to some form of agreed discount.
- C The term 'credit note' does not imply any form of borrowing.

1.3 B The debit note is recorded in the customer's accounts and will be matched with an incoming credit note from the supplier if agreed.

- A An invoice is raised to demand payment. Sometimes debit notes are issued by suppliers to increase the amount of a previous invoice.
- C A goods received note would be issued.
- D Only the supplier can cancel invoices which have been raised. This is done by issuing a credit note on receipt of the customer's debit note.

1.4 D The terms of trade agreed with the customer will determine the level of trade discount offered.

- A This would refer to a cash discount.
- B Trade discounts are related to the terms of trade agreed, not special offers.
- C This would occur by agreeing an allowance off invoice price and issuing a credit note.

1.5 C See also the comments on points B and D.

- A Income or corporation tax is payable by a business upon its taxable profits.
- B The government administer sales tax but the collection work is done by sales tax registered traders who must pay over any sales tax due to the government.
- D Only sales tax registered traders above the registration threshold are involved, many smaller businesses are outside the sales tax system.

1.6 A The remittance advice is sent out with payment to show what outstanding amounts are being paid.

1.7 C Office premises are a non-current asset. Because this is a credit transaction the amount due will be posted to payables (ie the supplier).

- A The entries for this would be DR Bank, CR Loan.
- B The entries for this would be DR Payables, CR Bank.
- D The entries for this would be DR Office premises, CR Bank.

1.8 A $100,000 less 5% = $95,000 less 2.5% = $92,625.

- B The trade discount has been added to the invoice price, and the cash discount calculated on this incorrect amount.
- C The trade discount has been ignored and cash discount calculated on the list price.
- D The trade discount has been taken, but the cash discount has been ignored.

1.9 B $50,000 – $10,000 cash + $10,000 inventory – $1,000 expenses + $5,000 stock – $5,000 current liability = $49,000.

A You have deducted $10,000 for the cash payment for inventory; but remember the inventory then becomes an asset of the business, so the purchase of inventory for cash has no effect on the initial capital.

C You have correctly identified that the purchase of inventory on credit and for cash have no effect on capital, but the payment of expenses reduces profits and ultimately capital.

D You have correctly calculated the effects of the cash inventory purchase and the payment of the expenses. However the purchase of the inventory on credit increases current assets by $5,000 and also increases current liabilities by $5,000.

1.10 B The accountant's fees are a business expense which reduces profit and hence reduces capital, liabilities increase as a result of the unpaid invoice from the accountant.

A As the bill has not been paid, the asset of cash will be unchanged.

C The bill is a business expense, so capital cannot increase. Liabilities will only decrease when the bill is paid.

D Assets will not decrease until the bill is paid.

1.11 B All the other options are credit entries.

1.12 C All the other entries are debit entries.

1.13 C Expenses increase, reducing profits and capital.

A The repayment will reduce assets but the repayment of the loan $10,000 reduces a liability not capital.

B The payment of the interest represents a business expense reducing profits and thus capital.

D Assets decrease by $10,500, liabilities by $10,000 and capital by $500.

1.14 A The account receivable remains until settled in full by the customer.

B This statement describes a trade payable.

C This statement describes a loan payable.

D This statement is only true if the person who purchased the goods has not yet paid for them.

1.15 A This is an expense incurred in the ordinary course of business.

B This expense is incurred in enabling the new non-current asset to be put into a productive state for the business, so it is capital expenditure.

C This expenditure is incurred to put the non-current asset into use, so it is classified as capital expenditure.

D This is an example of a non-current asset.

1.16 C The credit to cash could be made by two entries.

A The expense of $50 must be debited to an insurance expense account not a non-current asset.

B Payments are credited to cash (reduction of the asset of cash). Increases in assets are debited to asset accounts, expenses are debited to expense accounts.

D This reverses the transaction, although the books will balance - the entry is fundamentally flawed.

1.17 B This correctly records the purchase invoice postings.

- A Sales invoices would be recorded in the sales day book. Credit notes would be recorded in the sales returns day book.
- C Cash received would be posted to the general ledger cash account, not the journal.
- D Adjustments are recorded in the journal not the cash book.

1.18 B The bank statement is the 'mirror image' of the firm's cash book kept by its bank and sent regularly to the business for checking procedures.

- A The cash book records cash received and paid out by the business.
- C The sales day book records credit sale invoices sent out.
- D The purchase returns day book records debit notes raised on suppliers.

1.19 B This correctly records the entries needed.

- A The discount must be debited to discount allowed and the receivables ledger control credited with the total value (cash plus discount allowed).
- C The value of invoices raised must increase total receivables and should be debited to receivables ledger control and credited to sales. The payment received and discount have been correctly treated.
- D Whilst the entry for the $5,000 invoices is correct, the discount allowed to customers has not been recorded.

1.20 C The duplicate payment could result in a credit balance.

- A The invoice would be debited to Y's account.
- B The purchase has been recorded in the payables ledger correctly, this is a receivables ledger balance.
- D If the balance is owed to X Co then it would appear as a debit balance.

1.21 D No system can ever be completely foolproof and guarantee that errors cannot occur.

- A The control account can be reconciled to the receivables ledger and thus prove the completeness of processing.
- B The maintenance and reconciliation of a control account helps to detect errors.
- C As the control account can be kept by one employee and the personal account by another, it can aid the process of internal check and make fraud more difficult to perpetrate.

1.22 A The sales tax payable is the output tax chargeable less the input tax borne ($240 – $40 = $200).

- B Output tax is $240, input tax is $40, tax due $200, not recoverable.
- C Subject to limits and the tax being recoverable, input tax can be offset against output tax payable on sales.
- D You have added input tax to output tax, instead of deducting it.

1.23 C This means that inputs exceed outputs and the tax is recoverable.

- A Output tax must be credited to the sales tax account.
- B As the sales tax is irrecoverable, the machine account is debited with the total cost of the machine including the sales tax.
- D The double entry to record a sale (for a sales tax registered trader) is debit: receivables, credit: sales, credit: sales tax; so the sales account balance transferred to income and expense account must exclude sales tax.

1.24 D Totals of transactions with suppliers and customers will be recorded in a control account in the general ledger, not in the personal ledgers.

A All types of business expense are recorded in an appropriate, impersonal, nominal ledger account.

B All types of income will be recorded in the correct general ledger impersonal account.

C Sales transactions with individual firms or customers are recorded in a personal ledger (the receivables ledger).

1.25 C Receivables and payables ledger data held in memorandum accounts can be reconciled to control accounts, which are part of the double entry systems.

A A suspense account is sometimes used for this purpose.

B This would be a personal account in the name of the proprietor (if a loan), drawings or capital.

D Transactions are recorded and summarised in prime entry records prior to posting to ledgers.

1.26 D Assets and liabilities have been increased and the bank has been reduced by the amount of the payment.

A The initial entry recording the purchase has reduced assets and payables. The payment of $1,000 has been recorded as if it were a receipt.

B The initial entry recording the purchase has reduced assets and payables. The payment of $1,000 has been correctly recorded.

C The initial purchase has been correctly recorded, but the payment has been treated as if it were a receipt.

1.27 C The total is posted to the control account and individual discounts are posted to customer accounts in the receivables ledger as well.

A This entry is reversed, discounts allowed are an expense and therefore a debit entry.
B Discounts allowed do not involve a payment and therefore the credit to cash is incorrect.
D This is the entry for a cash sale.

1.28 D The double entry in each case will be completed in the control accounts for purchases and sales together with entries in personal accounts.

A The entries should be reversed, ie debit: discount allowed; credit: discount received.

B The debit/credit entries are to the correct accounts, the totals have been transposed.

C The discounts must be treated separately, not 'netted off' otherwise the receivables and payables ledger control accounts will be incorrect.

1.29 D Debit notes raised appear in the purchase returns day book (returns outwards).

A Credit notes would be recorded.
B Adjusting journal entries are recorded.
C Returns are not cash entries.

1.30 A Credit notes sent to customers are correctly recorded in the sales returns day book (returns inwards).

B You should remember the general ledger is not a prime entry record.
C Generally speaking businesses should separate sales invoices and credit notes.
D Debit notes and credit notes received are recorded here.

1.31 D Invoices received are credits because they increase liabilities (they are what the business owes to its suppliers).

A Payments reduce liabilities and are debits.
B Discounts allowed appear in sales accounts for customers.
C Discounts received reduce liabilities and are debits.

1.32 B Balance b/f $2,000 + $15,000 + $250 + $2,000 – $150 – $700 = $18,400.

A You have entered the opening balance as a credit, a balance 'in hand' refers to a debit balance.

C You have deducted the capital received and added the drawings. The correct entries are to add capital received and deduct drawings.

D You have treated the capital paid in as a credit entry in the cash account. The correct entry is debit cash, credit capital and you have also reversed the opening balance.

1.33 D Narrative explanation is required so that the purpose and authority of each entry is clear. Auditors will require this.

A Although some journal entries are routine, others may relate to important accounting adjustments, and so all journals should be authorised.

B Journal entries can be made for other reasons, eg to transfer from one account to another.

C The journal is one of the prime entry records from which ledgers are posted.

1.34 B If the bookkeeping has been accurate, the total of the debits will equal the total of the credits in the trial balance.

A Customer account balances are reconciled to the balance on the receivables control account.

C Businesses need not prepare a trial balance. However, the agreement of the final accounts is made easier if one is prepared.

D The trial balance records balances representing the effects of the transactions recorded individually in ledger accounts.

1.35 C Loan interest is an expense, all expense balances are debits.

A This is a liability balance, which is a credit.

B Sales returns are debits, so the debit balance on the sales returns account will appear in the debit column.

D Purchase returns will be credited to the purchase returns account, any balance will then be in the credit column.

1.36 B The agreement of the control total of processed transactions with the previously calculated total ensures that all the data is processed.

A Control totals ensure that data is completely processed, however they do not guarantee that no errors have occurred.

C Control accounts are posted with totals of transactions eg sales invoices in a period. The control account balance is subsequently reconciled.

D However, the totals of a trial balance should agree in order to prove bookkeeping has been accurate.

1.37 D

	Dr	*Cr*
	$	$
Rent	1,800	
Capital		15,000
Purchases	10,000	
Sales		12,000
Wages	5,000	
Sundry expenses	1,000	
Cash	9,200	
	27,000	27,000

A The sundry expenses should be on the debit side of the trial balance.
B You have reversed the purchase and sales account balances.
C You have entered capital as a debit balance.

1.38 A This is an error of commission. The debit and credit are on the correct sides of the ledger accounts, but the credit is in the wrong personal account.

B This is a reversal error. The correct entry is DR cleaning materials $50 CR cash $50.
C This is an example of an error of omission.
D This is an error of original entry.

1.39 A The double entry does not balance, there will be a trial balance difference of $1,000.

B This is an error of omission.

C This is a reversal entry. The correct entry should be DR wages $250, CR cash $250. The trial balance will agree because debits = credits, although incorrect.

D This is an error of principle. The debit equals the credit, but the asset has been entered into an expense account.

1.40 B An asset purchase has been debited to an expense account, which is an error of principle.

A This is error of commission.
C This is correct.
D This is an error of original entry.

1.41 B $130 will be debited twice to purchases, giving rise to a credit balance in the suspense account.

A The receivables ledger is not part of the general ledger, so this will have no effect.
C This will not create any imbalance.
D This transposes the debit and credit entries, but the trial balance will still balance.

1.42 A In the UK the Data Protection Act 1998 is concerned with how information about individuals is managed. Similar legislation exists in other jurisdictions.

1.43 C Simply throwing such documentation away is not acceptable, because it could result in third parties gaining access to sensitive or confidential information.

1.44 B Computerised systems do not in themselves offer protection against malicious actions.

1.45 C A computerised accounting package will typically consist of several modules.

2 Recording and accounting for cash transactions

2.1 B A cheque guarantee card is used to support a cheque issued by a personal account holder, it guarantees the cheque will be honoured (to a limit).

A This is the most common mode of payment.

C Used as a payment device and permits a period of credit.

D A payment device, but the payment is charged immediately against the customers bank account.

2.2 B This is the best combination of methods.

A (i) is acceptable as is (iii), but (ii) is not secure if banking occurs at the same time each day.

C (ii) insecure if banking is too regular.
(iii) this is fine.
(iv) the cashier could misappropriate bankings.

D (i) this is fine.
(iv) the cashier could misappropriate bankings.

2.3 D The payment cannot be dishonoured by the bank.

A The card may be tendered fraudulently.

B There is a risk of non payment.

C The cheque may be dishonoured and is likely to exceed the guarantee limit of a cheque card.

2.4 C In addition check the card has not gone past its expiry date.

A The value of the cheque must not exceed the amount guaranteed.
B The account number must be that which appears on the cheque.
D The bank sort code must agree with that on the cheque.

2.5 C EFTPOS stands for 'electronic funds transfer at point of sale'

A No contact with the bank is required.
B Cheques are unnecessary under EFTPOS.
D No delays occur in receiving payments.

2.6 A The customer is a payable in the bank’s books of account, and vice versa.

B Customer stores property in bank’s safety deposit facilities.
C Bank arranges insurance for customer.
D Bank lends money to customer with customer’s property as security.

2.7 A Customers need not check statements received, however it makes sense to do so.

B This is part of the duty of operating an account in a responsible way.
C Banks will insist upon this if the overdraft is called in.
D This is a reasonable duty of care imposed upon customers.

2.8 D This is not a valid reason. The bank should take steps to monitor the account carefully and act in a professional manner.

A The consent to give a reference allows disclosure.

B This must be in the public interest eg where the customer is engaged in activities contrary to the public interest.

C This is a correct reason under several statutes, it is really an extension of the public interest issues.

2.9 A Cheques passed between banks are settled through the clearing system. Options B, C and D are functions of the banking system but do not specifically define clearing.

2.10 B A bank will honour a cheque if it is for less than the guaranteed amount and the guarantee card number is written on the back of the cheque.

- A Banks will honour cheques provided the amount is less than the guaranteed sum, so option (ii) is not a valid reason.
- C If the cheque/guarantee card are on the bank stolen list it is invalid and worthless.
- D The drawer must ensure the words and figures are the same, any errors should be corrected and initialled by the drawer.

2.11 B The double entry will be DR cash, CR disposals of equipment.

- A These will be entered initially in the journal and then posted to the receivables ledger and general ledger.
- C These will be entered in the sales returns day book.
- D These will be entered in the sales day book.

2.12 A This correctly reflects the entries to be made.

- B This entry is an error of reversal.
- C Every entry must consist of debit and credit entries which are equal.
- D Discount received is a credit entry (it reduces purchases).

2.13 B This reflects the correct entries.

- A Sales a/c must be credited.
- C Sales a/c must be credited.
- D The discount has not been recorded.

2.14 D The idea of an analysed cash book is to simplify postings to general ledger expense accounts.

- A Sales are recorded in the sales day book; purchases are recorded in the purchases day book.
- B Petty cash entries will be recorded in a petty cash record usually kept on an 'imprest system'.
- C The bank statements received will be checked to the cash book subsequently.

2.15 B The balance on the customer's account will change over time as sales are made, invoices are paid etc. A, C and D are examples of standing data that change infrequently, if at all.

2.16 A The examination of excess spending is an important control in a business, but the payment has already been made.

- B The documentary evidence will usually be an order, goods inwards document and invoice.
- C This makes an individual accountable, which makes the control effective.
- D Authorisation at a lower level may be restricted to small amounts, whilst a director or owner may be required to approve large purchases.

2.17 B This is unacceptable, the supplier should be asked for a duplicate invoice and the weakness which has led to the invoice being lost should be investigated.

- A Some organisations, such as government departments, do not issue invoices but will send a receipt after payment.
- C If this is done, an invoice must follow the payment.
- D This should be a rare happening but an invoice should follow from the supplier.

2.18 C The mandate will also specify how many of the authorised signatories must sign and any limits.

A A bank mandate form informs the bank of authorised signatories.

B This is an internal document within a company.

D The bank mandate form will probably be part of the package of documents provided to the bank on opening an account, but it is not a request to open an account.

2.19 C Usually as part of the bank reconciliation procedure on a regular basis.

A All payments should go through the cash book.

B It is the receiving company which initiates a direct debit on the paying company's bank.

D The cash book balance would be overstated by the amount of the unrecorded payments during the year and it would make bank reconciliation difficult.

2.20 C The bank will not issue a draft where insufficient funds exist in the customer's account.

A Banker's drafts cannot be stopped or cancelled once issued.
B It is signed by official(s) of the issuing bank.
D It is a means of payment, not raising finance.

2.21 C This is a definition of a direct debt. A standing order can only be made by the business making the payment instructing its bank.

A Standing orders are often used for making regular fixed sum payments such as rental payments.

B The amount is usually fixed. However, a standing order can be altered by the person making the payment.

D Any changes must be notified to the bank in writing.

2.22 B These are also used for 'sale or return' transactions.

A This would be an order acknowledgement.
C No invoice will be issued until a price/discount terms are agreed.
D The supplier's normal documentation will still apply, but with additional procedures.

2.23 C This is the correct definition.

A The order will usually confirm delivery instruction, or these will be set out in a letter to the supplier quoting the order number.

B A purchase order would be used.

D This would be a supplier's statement.

2.24 B This is the correct term. A, C and D are greatly facilitated by the fact that segregation of duties is in place.

2.25 D This reflects the correct treatment.

A Purchase analysis for posting purposes will have been done using the purchase day book when the invoices were originally received.

B Payments are recorded as credit entries.

C Discounts received apply to purchases.

2.26 C The cash book is credited to cancel a previous receipt recorded as a debit. The bank statement is the bank's record of your account and is therefore the other way round, so a debit will appear.

A You would credit the cash book to reverse a previous receipt.
B The entry on the bank statement would be a debit.
D This is a reversal of the correct entries.

2.27 D The recipient will make arrangements to collect the payments from the paying company's bank.

A Option (iv) is also required, therefore the characteristics are incomplete.

B The payment amount can be varied at the option of the recipient, but will be used for regular payments (option (i)).

C Payment amount can be varied and the instruction is sent to the recipient of the payment.

2.28 C Provided that employees have bank accounts.

A A standing order should be set up.
B A direct debit arrangement should be established.
D It would not be cost effective to use BACS for irregular payments.

2.29 A Expenditure will be from a petty cash system reimbursed from the business bank account.

B Petty cash expenditure will usually be of minor amounts but some control should be exercised over the float.

C All types of minor expenses are paid from petty cash.

D The petty cash float will impose a maximum amount on the expenditure.

2.30 D This is the type of expenditure to go through a petty cash account.

A Whilst the amount is fairly small, it would be important that the reason for the fine is investigated prior to payment.

B This amount is excessive and could be an expense of a capital nature.

C This is a recurrent expense and should be met from the normal supplier payment system by a standing order payment.

2.31 A

	$
Imprest	500
Valid vouchers	(395)
Cash in hand	(45)
Balance (amount missing)	60

B This is the float less cash in hand.
C This is the total of valid petty cash vouchers.
D This is vouchers less cash in hand.

2.32 A

	$
Original float	750
Balance in hand	(57)
IOU	(20)
Apparent expenditure	673
Increase in float (800 – 750)	50
Amount to be reimbursed	723

B This is the new imprest amount, cash in hand plus IOU's equal $77.

C The IOU is treated as cash in hand until it is repaid by the employee concerned.

D This is the total of the vouchers only. You need to take account of the increase in the float of $50 and the fact that the balance is cash in hand plus IOUs ($77).

2.33 A Sales tax is debited to an input tax account at 20/120 of the total payment.

B The entry is reversed.

C The sales tax has been incorrectly calculated as 20% of the total payment, it should be 20/120.

D The entry is reversed and the sales tax is incorrectly calculated.

2.34 B The petty cashier will not usually sign the payment voucher and must not authorise the payment.

A The purpose and details must be clear and should be supported by a receipt for the expenditure where possible.

C A signature is important to acknowledge receipt.

D There may be different persons to authorise payment and the cashier should check the authorising signature against a list of specimen signatures.

2.35 B A bank reconciliation does not identify missing cheques.

A Missing cheques would not be revealed since they would be assumed to be unpresented unless a supplier queries non payment.

C Bank interest and charges would also be revealed.

D Missing cheques would not be identified and standing order/direct debit payments would be.

2.36 B Customers will receive statements on a regular basis.

A This is a bank reconciliation statement.
C This is part of the information extracted from a cash book.
D This information would come from an analysed cash book.

2.37 C Note the treatment of the overdrawn bank statement balance and the effect of the undeposited receipt cheques.

	$
Balance per bank statement	(300)
Add back interest charged (not in cash book)	30
	(270)
Undeposited receipts	295
Balance per cash book	25

A You have treated the cash book balance as overdrawn not 'in hand' ie a debit balance.

B You have ignored the effect of the interest.

D The interest recorded in the bank statement has not been entered in the cash book and must be deducted from the overdrawn balance.

2.38 A

	$
Balance per bank statement	1,100
Add unrecorded bankings	250
	1,350
Less unpresented cheques	(450)
Balance per cash book	900

B You have deducted the unrecorded bankings from the bank balance instead of adding them.

C This is the amount of the unrecorded bankings.

D You have deducted the balance per the cash book from the bank statement balance and have ignored unrecorded bankings.

2.39 C Any cash book journal entries would be done to correct errors found as a result of the bank reconciliation, but will not appear in the reconciliation itself.

A This is a timing difference which will appear in most bank reconciliations.

B Again, this is a commonly encountered timing difference.

D Banks are not infallible and these may occur from time to time. The bank reconciliation allows them to be found and taken up with the bank.

2.40 C A cheque requisition form is an internal document raised by the payer when primary documentation such as a supplier's invoice has not been received.

2.41 C A paying-in slip lists notes and coins being paid in by denomination.

3 Recording and accounting for credit transactions

3.1 A 'Returns inwards' is an alternative term used to describe sales returns.

B 'Returns inwards' refers to sales returns.

C The sales tax account has been posted on the wrong side and the net figure should be posted to the general sales returns account.

D Returns inwards refer to sales returns not purchase returns. Remember that 'returns inwards' are returned into the company by customers (and so are returns of sales), while 'returns outwards' are returned out of the company to a supplier (and so are returns of purchases).

3.2 C A posting summary is used to post control totals to individual accounts as part of the double entry systems.

A All systems are based upon double entry principles whether manual or computerised.
B Obviously the business must know the state of each personal account.
D Accounts for customers and suppliers must be kept separately.

3.3 D All these factors are important.

A This choice ignores the matching of receipts to invoices - without this, the composition of an outstanding balance will remain unknown.

B The need to be able to answer customer queries is important for accounting purposes and good customer relations.

C Statements are prepared from the personal account.

3.4 D The debt may not be collected in full and the delay might be lengthy.

A Debt recovery should continue until the prospect of a receipt disappears, provided the outstanding amount is worth recovering.

B The dispute must be resolved.

C If the credit limit was exceeded, the sales should not have been made and the debt remains collectable.

3.5 B The total for the year will be a business expense which reduces profits.

A Expenses appear in the statement of profit or loss.

C If this method of presentation is used the gross profit will be incorrect.

D The irrecoverable debts have been written off and are therefore already excluded from the closing total receivable balance.

3.6 C The time periods are based (usually) around the normal credit period allowed eg up to 30 days, 30 – 60 days, 60 – 90 days, over 90 days.

A This would not be a statistic which is produced by the accounting department. The sales or marketing departments might do this.

B Only the period end balance is analysed.

D All balances are included so the total agrees with the control account balance.

3.7 B The normal situation is that a business owes money to its suppliers.

A The balance is a liability not an asset.

C The control account balance represents the total of payables and is clearly not income (or an expense).

D See explanation in (C) above.

3.8 C Statements should be reconciled to payable ledger balances.

A Suppliers are payables of the business not receivables.

B Discounts may be deducted for prompt payment.

D Discounts allowed relate to sales, discounts received may be taken from payments made. (Remember discounts allowed are what the business is allowing to its customers. Discounts received are received by the business from its suppliers.)

3.9 B An additional debit will be posted to the supplier's account.

A This would mean that a liability remains and credit balances will be higher.

C Trade discounts are not entered in the payables ledger accounts at all, invoices received are posted net of trade discount.

D This will result in an excess credit balance.

3.10 B An aged analysis of receivables gives details of what is due and for how long it has been outstanding.

A This shows how long amounts due to supplies have been outstanding.
C This is an internal check.
D This shows what is due from customers in total not in detail.

3.11 D Balance b/f \$7,500 + \$20,000 – \$8,000 – \$400 – \$500 = \$18,600.

A You have entered the opening balance on the wrong side of the account.

B You have entered the discounts allowed as a debit entry, when they should be credited to receivables ledger control and debited to discounts allowed.

C You have entered the irrecoverable debts on the incorrect side of the account, they should be credited to the receivables ledger control account.

3.12 A Balance b/d (cr) \$1,700 + \$18,000 – \$10,000 – \$1,200 – \$3,000 = \$5,500.

B You have entered the opening balance as a debit. The balance on the payables ledger control account should be a credit, as it is owing to suppliers.

C You have entered the purchase returns on the same side as the purchases figure. The correct entry for purchase returns is: debit: payables ledger control a/c; credit: purchase returns a/c.

D You have entered the discount received as a credit where as it should be debited to payables ledger control a/c and credited to discount received.

3.13 D Discounts received are set out against purchases and so are entered in the payables ledger control account.

A This will appear in the receivables ledger control account.
B Returns inwards are sales returns and will be in the receivables ledger control account.
C Discounts allowed will be in the receivables ledger control account.

3.14 B The double entry is to the control account.

A The double entry must be recorded in the control account and the entry is reversed.

C This entry has been reversed.

D The control account must be credited and the write off recorded in the customer's personal account.

3.15 C A, B and D are used internally and would not be sent out to customers.

3.16 D A purchase return should be a **credit** posting so the effect will be doubled. The fact that it has been posted to the wrong account does not create an imbalance.

3.17 D All of these act as internal checks. Another important internal check is authorisation.

3.18 A B, C and D appear on the debit side of the purchase ledger control account.

4 Payroll

4.1 C The business acts as collect of the income tax, which is then passed on to the relevant state authority.

A Holiday pay is a addition to gross pay.

B Income tax for the self employed is the subject of the self assessment system.

D The government supervises the sales tax system, which is administered by sales tax-registered businesses.

4.2 D All of the factors are probably equally important.

A The company acts as a collector of tax.

B You have ignored the large and important impact of payroll costs and also the security issues (cash and confidential data).

C Employee relations must be maintained and payroll costs form a major element of the total business costs.

4.3 C This is so that employees enjoy some security if output cannot be produced due to factors beyond their control or during training.

A Whilst this is true for most piecework systems, this employee enjoys a guaranteed minimum so earnings are constant up to a minimum output level.

B Earnings will fluctuate.

D The unit wage cost may change because of the effect of the guaranteed minimum wage.

4.4 D In a reasonable system, employees are rewarded for extra effort so, financially, there is an incentive to work harder.

A Frequently quality standards suffer as output increases.
B Inspection needs to be more stringent because quality may suffer as output rises.
C Employees are paid according to output, so their wages will vary from week to week.

4.5 A

	$
Guaranteed minimum	50
Output: 7 × $10	70
Overtime: 5 × $3	15
	85

B this is guaranteed earnings only, plus overtime at $3 per hour.

C you have ignored the entitlement to overtime.

D you have ignored the piecework system and paid all time worked at $3 per hour (45 × $3 = $135).

4.6 C

	$
Commission on $100,000 @ 3%	3,000
Commission on $25,000 @ 5%	1,250
Total commission payable for the month	4,250

4.7 B

	$
Basic salary May (26,400/12)	2,200
Backdated increase (2,200 – 2,000)	200
Profit based bonus (2% × $2,200)	64
	2,444

A you have forgotten to pay the backdated pay increase for April.

C you have failed to implement the pay rise! ($2,000 + profit bonus (2% × $2,000) = $2,040)

D your profit bonus is based upon the old monthly salary.

4.8 C In large companies the personnel department will not calculate or pay wages. Large companies will have effective segregation of duties between the personnel function and the payroll function.

4.9 A This is not required by law but is usually shown.

B Required by law
C Required by law
D Required by law

4.10 A Employer's benefit contributions and employer's pension contributions form part of the overall cost of staff to the business. The total debited to staff costs is therefore $25,500 + $1,800 + $1,200 = $28,500.

4.11 B Cheque and automated payments are appropriate methods of paying employees but do not in themselves ensure the accuracy of those payments.

Mixed bank 1

Test your knowledge of the syllabus with this set of 50 questions.

This is the same length as your exam paper and should be attempted at one sitting but need not be timed.

Then revise any areas of weakness and attempt the mock exams under timed conditions.

5.1 If goods are to be paid for in advance, the seller may issue which document?

A A debit note
B A statement
C A pro-forma invoice
D A goods received note **(2 marks)**

5.2 Edward has started a business and has paid $20,000 of his own money into a business bank account. What is the double entry for this transaction?

A DR Cash CR Capital
B DR Capital CR Cash
C DR Cash CR Loan
D DR Loan CR Cash **(2 marks)**

5.3 What does a credit balance on a ledger account indicate?

A An asset or an expense
B A liability or an expense
C An amount owing to the organisation
D A liability or income **(2 marks)**

5.4 Which department's records will always contain some information that is protected by data protection legislation?

A Sales and marketing
B Personnel
C Management
D Credit control **(2 marks)**

5.5 For a large organisation which of the following transactions would be most efficiently made by online transfer?

A Quarterly utility bills
B Purchase of office sundries
C Monthly employee salaries
D Refunds to customers **(2 marks)**

5.6 Which of the following would be classified as revenue expenditure?

A The purchase of a new van
B The delivery charges for the van
C The signwriting on the van
D The insurance premium on the van **(2 marks)**

5.7 Bill sets up his own computer consultancy from home. He buys a laptop for $2,000 and puts $1,000 into a business bank account. During the first month he invoices a client for $1,500 and pays $600 to a freelance programmer. The client has not yet paid.

What is Bill's capital balance at the end of the month?

A $1,900
B $2,400
C $3,900
D $4,500 **(2 marks)**

5.8 In making which of these payments will you encounter EFTPOS?

A Your monthly council tax payment
B Your monthly payment to your credit card company
C Your mortgage payment
D You supermarket checkout bill **(2 marks)**

5.9 In A's payables ledger, B has a debit balance. How could this have arisen?

A A has bought goods from B
B B has bought goods from A
C A has overpaid B for goods received
D B has sent a refund to A **(2 marks)**

5.10 A receivables ledger control account shows a balance of $35,100, while the list of balances totals $36500. The following discrepancies are discovered:

(i) A credit balance of $350 has been included in the list of balances as a debit
(ii) A refund of $125 has not been posted to the receivables ledger control account
(iii) One page of the sales day book has been undercast by $575

What is the reconciled balance?

A $36,500
B $35,800
C $35,225
D $37,200 **(2 marks)**

5.11 Joe buys goods worth $3,500 from Eddie. On $2,000 worth he gets trade discount of 20%, no trade discount is available on the rest. However Joe always makes sure that he pays within 10 days in order to obtain Eddie's settlement discount of 5%.

How much will Joe pay Eddie?

A $2,495
B $2,945
C $2,800
D $3,025 **(2 marks)**

5.12 Which document will the warehouse issue when deliveries are received?

A A receipt
B A purchase order
C A goods received note
D A remittance advice **(2 marks)**

5.13 Which one of the following statements concerning direct debits is correct?

A Each payment under a direct debit must be for a fixed amount

B The person making the payment sends the direct debit form directly to his bank

C The company taking the direct debit must send the person paying a regular statement showing amounts taken and dates

D The direct debit can only be cancelled by the debiting company **(2 marks)**

5.14 A petty cash imprest system is in operation with a float of $150 being maintained. There are vouchers in the box totalling $76 and IOUs totalling $35. There is $29 in the box and $10 travel advance has just been given to a member of staff.

How much should be drawn from the bank to restore the imprest?

A $110
B $120
C $76
D $121 **(2 marks)**

5.15 Nancy's business has net assets of $13,200 as at 1 January 20X1. During January she purchases new equipment for $1,200, makes sales on credit of $7,500, receives payments from customers of $3,750 and receives bills from suppliers of $2,250. These are not payable until February.

What are the net assets at the end of January 20X1?

A $15,750
B $18,450
C $18,150
D $20,700 **(2 marks)**

5.16 You have bought stationery with a company cheque from the stationery shop next door.

How should this transaction be recorded?

A	DR Stationery	CR Payable
B	DR Cash	CR Payable
C	DR Stationery	CR Cash
D	DR Payable	CR Cash

(2 marks)

5.17 You have discovered the following errors at the end of the month: a purchase invoice for $25.50 has been completely overlooked; a rent payment of $736 has been posted to the rent account as $763; a refund paid to a customer for $27 has been omitted from the receivables ledger control account.

How will these errors have affected the trial balance?

A $54 short debit
B $54 short credit
C The trial balance will balance
D $52.50 short debit **(2 marks)**

5.18 You receive a cheque from one of your credit customers. How is this posted to the general ledger?

A	DR Cash	CR Sales
B	DR Receivables ledger control account	CR Sales
C	DR Cash	CR Receivables ledger control account
D	DR Sales	CR Receivables ledger control account

(2 marks)

5.19 The trial balance would still balance if which of the following errors had occurred in the accounting process?

A An error of single entry
B A transposition error
C An error of principle
D An omitted account **(2 marks)**

5.20 The balance on the receivables ledger control account is $52 more than the list of customer balances.

This could be caused by which one of the following?

A An invoice for $52 omitted from the sales day book
B A credit note for $52 omitted from the sales returns day book
C A customer invoice of $52 posted twice to the general ledger
D A credit note for $26 entered twice into the receivables ledger **(2 marks)**

5.21 These are the year end balances for Josie's business.

	$
Sales	54,000
Purchases	21,000
Inventory	9,500
Cash	27,250
Receivables	
Motor vehicle	7,500
Payables	5,500
Capital	18,500

If the trial balance balances, what is the missing figure for receivables?

A $15,500
B $13,250
C $9,250
D $12,750 **(2 marks)**

5.22 Anwar makes sales in the quarter of $34,800 including sales tax at 20%. His total purchases net of sales tax are $8,510.

How much should he pay to the government?

A $5,800.00
B $5,258.00
C $4,098.00
D $1,702.00 **(2 marks)**

5.23 All of Jimmy's sales are subject to sales tax at 20%. He invoices a customer for $1,700 plus sales tax and receives a cheque in full payment the following month.

How is the cheque posted to the general ledger?

A	DR Cash	$2,040.00	
	CR Sales		$1,700.00
	CR sales tax		$340.00
B	DR Receivables ledger control account	$1,700.00	
	DR sales tax	$340.00	
	CR Cash		$2,040.00
C	DR Cash	$1,700.00	
	DR sales tax	$340.00	
	CR Sales		$2,040.00
D	DR Cash	$2,040.00	
	CR Receivables ledger control account		$2,040.00

(2 marks)

5.24 Janet has not registered for sales tax as her turnover is below the limit. Her sales for the quarter are $3,500 on which no sales tax is charged. Her total outgoings are $1,150.

If Janet had been registered for sales tax, how much would she owe to the government for the quarter if the sales tax rate is 20%?

A $583.33
B $353.33
C $470.00
D $508.33 **(2 marks)**

5.25 A multinational company has just sent off the quarterly sales tax cheque.

In which book of prime entry (manual or computerised) will this be entered?

A The cash book
B The purchase day book
C The journal
D The sales day book **(2 marks)**

5.26 Which of the following is the correct posting from the sales day book to the general ledger?

A	DR Sales	CR Receivables control account
B	DR Cash	CR Receivables control account
C	DR Receivables control account	CR Sales
D	DR Receivables control account	CR Cash **(2 marks)**

5.27 One of Tara's customers has returned goods and Tara is issuing a credit note.

In which record of prime entry will this be recorded?

A The cash book
B The sales returns day book
C The purchase returns day book
D The sales day book **(2 marks)**

5.28 The year end balance on Fatima's payables control account stands at $3,525.

What does this mean?

A Suppliers owe Fatima $3,525
B Fatima owes $3,525 to suppliers
C Fatima has received goods valued at $3,525 on credit
D Fatima has supplied $3,525 worth of goods on credit **(2 marks)**

5.29 When doing a bank reconciliation, adjustments have to be made for timing differences.

Which one of these constitutes a timing difference?

A Unpresented cheques
B Unposted direct debits
C Bank charges
D Dishonoured cheques **(2 marks)**

5.30 Gemma is reconciling her cash book to the bank statement. Her cash balance is $2,357 and the balance on her statement is $25 overdrawn. She finds the following differences: bank charges of $23 and direct debits totalling $100 have not been posted to the cash book; there are unpresented cheques of $324; she paid in a batch of cheques two days ago totalling $2,503 and these have not yet been credited to her account; a cheque she paid in last week for $80 has been dishonoured.

What will the reconciled balance be?

A $2,154
B $2,204
C $2,357
D $2,277 **(2 marks)**

5.31 In reconciling the payables control account to the payables ledger, the following discrepancies are noticed: a credit note for $105 has been posted to the wrong side of the control account; the payables ledger has not been adjusted for a receivables ledger offset of $2055; an account with a credit balance of $348 has been omitted from the list of payables ledger balances. The balance on the payables control account is $3,627. The balance on the payables ledger is $5,124.

What is the reconciled balance?

A $3,627
B $3,069
C $3,417
D $3,765 **(2 marks)**

5.32 For which of the following would a journal be used?

A Posting adjustments to correct an error
B Posting invoices to the receivables ledger
C Posting a credit note from a supplier
D Posting cash receipts **(2 marks)**

5.33 What is the most likely result of a company's credit control not being properly carried out?

A Customers will decide to go elsewhere and sales will fall
B Suppliers will refuse to supply goods on credit
C The company will run out of cash
D It will be overtaken by competitors **(2 marks)**

5.34 Of what is the following a description?

It is used to pay for large items such as vehicles and plant; it guarantees payment to the recipient; it cannot be stopped if the transaction does not go ahead.

A Cheque
B Credit card
C Banker's draft
D Standing order **(2 marks)**

5.35 Sara's gross annual salary is $25,000. In March she pays $348 tax and $217 employees national insurance. $17 is deducted towards her season ticket loan and employers national insurance is $247.

How much does Sara take home in March?

A $1,471.33
B $1,254.33
C $1,535.33
D $1,501.33 **(2 marks)**

5.36 John receives an annual salary of $20,000 and commission of 5% on all sales above a monthly threshold of $35,000. In September sales invoiced amount to $43,000.

What was John's gross salary?

A $2,066.66
B $1,666.66
C $2,150
D $1,750 **(2 marks)**

5.37 A company's payroll for the month is as follows: Gross pay $127,500; Tax $24,500; Employers national insurance $12,750; Employees national insurance $11,350.

What will the total net pay paid to employees be?

A $91,650
B $90,250
C $78,900
D $104,400 **(2 marks)**

5.38 Which one of the following is **not** deducted from salaries?

A Income tax
B Employers benefit contributions
C Employees national insurance
D Employee contributions to the pension scheme **(2 marks)**

5.39 The cost of repairs to a machine has been posted to the non-current asset account.

What is the result of this?

A Profits are understated and assets are overstated
B Profits are overstated and assets are understated
C Profits are overstated and assets are overstated
D Profits are understated and assets are understated **(2 marks)**

5.40 Mabel's supplier has allowed her 5% discount for prompt payment of her account.

How should this be posted?

A	DR Payables ledger control account	CR Discounts allowed	
B	DR Discounts allowed	CR Payables ledger control account	
C	DR Payables ledger control account	CR Discounts received	
D	DR Discounts received	CR Payables ledger control account	**(2 marks)**

5.41 Andrew buys goods with a list price of $7,200 on which he receives 20% trade discount. His supplier offers 5% discount for payment within ten days. Andrew pays half of the invoiced amount within ten days and the balance three weeks later.

What is the total amount of money that he will pay for this order?

A $5,616
B $5,580
C $5,400
D $6,300 **(2 marks)**

5.42 Discounts received of $150 have been debited to discounts allowed.

How will this affect the trial balance?

A Debits will be $300 more than credits
B Credits will be $300 more than debits
C Debits will be $150 more than credits
D The trial balance will not be affected **(2 marks)**

5.43 Which of the following appears in a statement of financial position?

A Sales
B Gross profit
C Capital
D Net profit **(2 marks)**

5.44 At the end of the month there is a difference of $546.27 on the trial balance which is debited to suspense. The following discrepancies are discovered: a sundry receipt of $229.32 has been posted to income but not to the cash account; a sales invoice for $91 has been posted to the receivables control account as a credit note.

What is the remaining balance on the suspense account after adjusting for these errors?

A CR $134.95
B DR $134.95
C DR $407.91
D DR $225.95 **(2 marks)**

5.45 Which one of these errors will give rise to a suspense account entry?

A A transposition error
B An error of principle
C An error of omission
D A compensating error **(2 marks)**

5.46 Anna receives her bank statement and sees that a cheque from one of her customers has been dishonoured.

What entry should she make to reflect this?

A CR Cash DR Sales
B DR Cash CR Sales
C CR Cash DR Receivables ledger
D DR Cash CR Receivables ledger **(2 marks)**

5.47 Angus has a month-end balance on his cash book of $325 overdrawn. Checking this with the bank statement, he notes that there are unpresented cheques of $1,503 and bank charges of $27. However he is pleased to discover that a customer has made a direct transfer of $750 into his account.

What is the balance on his bank statement?

A $398 in credit
B $398 overdrawn
C $1,901 in credit
D $1,148 in credit **(2 marks)**

5.48 Which of the following should be classified as assets?

A Payables
B Motor vehicles
C Discounts received
D Tax refunds due **(2 marks)**

5.49 Which of these will appear as a credit balance in the accounts?

A Purchases
B Receivables
C Capital
D Discounts allowed **(2 marks)**

5.50 Which of the following would be classified as capital expenditure?

A Purchase of machinery
B Maintenance costs
C Wages of machine operators
D Insurance cover for machinery **(2 marks)**

(2 marks per question = 100 marks)

Answers to Mixed bank 1

5.1 C

A is issued by the buyer to request a credit note.
B is a summary of the buyer's account.
D is an internal document issued when goods are received.

5.2 A Cash and capital have increased by $20,000.

5.3 D

5.4 B Remember, data protection law is concerned with information kept about **individuals**, not organisations. While the other departments may have some information about individuals, the department that will always have personal information in its records is Personnel.

5.5 C Companies which used to pay their employees using BACS can now do the transfers themselves using the internet, and save the BACS charges.

A, B and D could all be done online, but other methods of payment are more likely to be used, probably direct debit for A, petty cash for B and cheque for D.

5.6 D

A, B and C are all part of the capital cost of the van.

5.7 C

	$
Opening capital	3,000
Receivable	1,500
Payment to freelancer	(600)
	3,900

5.8 D Most supermarkets now operate the EFTPOS system.

5.9 C Payables are normally credit balances; a debit balance arises in this case because A has paid more than the amount owed to B.

A and D would give rise to credit balances, B would be in A's receivables ledger.

5.10 B

RECEIVABLES LEDGER CONTROL ACCOUNT

	$		$
Opening balance	35,100	Balance c/f	35,800
Refund	125		
Undercast	575		
	35,800		35,800

	$
Receivables ledger balances	36,500
Correct misposting	(700)
	35,800

5.11 B

	$
Original price	3,500
Trade discount (2,000 × 20%)	(400)
	3,100
Settlement discount (3,100 × 5%)	(155)
	2,945

5.12 C

A acknowledges payment.
D is sent with a payment.
B is issued to place the order for the goods.

5.13 C

A the amount of the direct debit can be varied.
B the direct debit mandate is returned to the debiting company
D the person making the payments can cancel the direct debit at any time.

5.14 C The IOUs and advance will be repaid in cash. To restore the imprest an amount equivalent to that actually spent from petty cash, ie the total of the vouchers ($76) should be drawn from the bank.

5.15 B

	$
Opening net assets	13,200
Receivables	7,500
Payables	(2,250)
Closing net assets	18,450

Note. The purchase of equipment replaces cash with equipment, so has no effect on net assets. Similarly the payments received from customers increases cash and reduces receivables, having no effect on net assets.

5.16 C This is a cash payment, so the stationery shop is not a supplier with whom you have an account.

5.17 C

	$
Excess debit to rent account	27
Missing debit to receivables ledger control account	(27)
	–

Note. The purchase invoice which has been completely overlooked will not have caused an imbalance.

5.18 C

A would record a cash sale.
B would record an invoice.
D would record a credit note.

5.19 C An error of principle involves a posting to the wrong class of account, which will not cause an imbalance. The others will all cause a DR or CR imbalance.

5.20 C

A and B would affect both the receivables ledger and the receivables ledger control account.

D would only make a difference of $26.

5.21 D

	Dr $	*Cr* $
Sales		54,000
Purchases	21,000	
Inventory	9,500	
Cash	27,250	
Motor vehicle	7,500	
Receivables	12,750	
Payables		5,500
Capital		18,500
	78,000	78,000

5.22 C

	$
Output tax (34,800 × 20/120)	5,800.00
Input tax (8,510 × 20%)	(1,702.00)
Due to government	4,098.00

5.23 D The sales tax element will have been accounted for in posting the invoice.

5.24 D

	$
Output tax (3,500 × 20%)	700.00
Input tax ((1,150) × 20/120)	(191.67)
Due to government	508.33

Note. Her outgoings will include any applicable sales tax.

5.25 A This is the book of prime entry in which cheque payments are recorded.

5.26 C The sales day book records invoices. No cash is involved as in B and D. A represents the posting of a credit note.

5.27 B

A records receipts and payments.
C records credit notes received.
D records sales invoices.

5.28 B

A would mean the account had a debit balance, which would be unusual.
C would mean that none of her payables had been paid.
D would be recorded in the receivables ledger control account.

5.29 A

All of the others will require an entry in the cash book.

5.30 A

	Cash book $	*Bank statement* $
	2,357	(25)
Bank charges	(23)	
Direct debits	(100)	
Dishonoured cheque	(80)	
	2,154	
Unpresented cheques		(324)
Uncleared banking		2,503
		2,154

5.31 C

PAYABLES CONTROL ACCOUNT

	$		$
Adjustment re. credit note	210	Balance b/f	3,627
Balance c/f	3,417		
	3,627		3,627

Payables ledger	$
Balance	5,124
Receivables ledger offset	(2,055)
Omitted account	348
	3,417

5.32 A

B is done from the sales day book.
C is entered in the purchase returns book.
D is posted in the cash book.

5.33 C

Credit control would not affect A and D.

B involves purchases, not sales.

5.34 C A banker's draft cannot be stopped like a cheque. The drawer's account is debited at the time the draft is prepared.

5.35 D

	$
Monthly gross (25,000/12)	2,083.33
Tax	(348.00)
Employee NI	(217.00)
Season ticket loan	(17.00)
Net pay	1,501.33

5.36 A

	$
Monthly gross (20,000/12)	1,666.66
Commission ((43,000 – 35,000 × 5%)	400.00
	2,066.66

5.37 A

	$
Gross pay	127,500
Tax	(24,500)
Employees' NI	(11,350)
Net pay to employees	91,650

5.38 B Benefit contribution is an additional tax levied on employers. It is not deducted from salaries, it is paid in addition to gross salaries. For the employer it is part of the cost of employing somebody.

5.39 C The repair cost should have been debited to the income statement, so profit has been overstated. Debiting it to the non-current asset account overstates non-current assets.

5.40 C The discount reduces the amount owing to creditors, so it is debited to the payables ledger control account, and it is credited to 'discounts received' in the statement of profit or loss. 'Discounts allowed' is used to post discounts granted to customers.

5.41 A

	$
Purchase price (7,200 × 80%)	5,760
Discount ((5,760/2) × 5%)	(144)
	5,616

5.42 A Posting to the wrong account will not affect the trial balance. However, the posting to discounts received should be a credit, not a debit, so the difference is $150 × 2.

5.43 C A, B and D appear in the statement of profit or loss.

5.44 B

SUSPENSE ACCOUNT

	$		$
Balance b/f	546.27	Sundry receipt	229.32
		Sales invoice adjustment (91 × 2)	182.00
		Balance c/f	134.95
	546.27		546.27
Balance b/f	134.95		

5.45 A

The other options will not give rise to a trial balance imbalance.

5.46 C When Anna received the cheque her posting would have been DR Cash/CR Receivables ledger. Now she must reverse that posting.

5.47 C

	$
Original cash book balance	(325)
Bank charges	(27)
Transfer in	750
Corrected cash book balance	398
Unpresented cheques	1,503
Balance per bank statement	1,901

5.48 D

A is a liability.
B is a non-current asset.
C is income.

5.49 C

The others are all debits.

5.50 A

The other options are examples of revenue expenditure.

Mixed bank 2

Test your knowledge of the syllabus with this set of 39 questions.

This should be attempted at one sitting but need not be timed.

Then revise any areas of weakness and attempt the mock exams under timed conditions.

6.1 Jasmine buys goods from Reshma on 60-day credit terms. Alternatively, a 10% cash discount is available on any payment received within ten days. During February the following transactions took place:

Feb 2 Jasmine buys $800 of goods
Feb 11 Jasmine pays Reshma a cheque for $360

What is the balance of Jasmine's account in Reshma's receivables ledger at 28 February?

A $360
B $400
C $440
D $485 **(2 marks)**

6.2 Manish buys goods on credit from Lisa but finds that some of them are faulty.

What document would Manish return to Lisa with the faulty goods?

A Statement
B Debit note
C Sales invoice
D Purchase invoice **(2 marks)**

6.3 What business document provides proof of payment for a business transaction?

A Invoice
B Receipt
C Claim
D Debit note **(2 marks)**

6.4 What is the purpose of crossing a cheque?

A To stop it being paid into an account other than the payee's
B To speed up the time it takes to go through the clearing system
C To allow it to be paid into any account, not just the payee's
D To tell the bank to check that there is enough money in the account to pay it **(2 marks)**

6.5 Alfredo is the Managing Director of a large engineering company. He signs his name on a company cheque for $260 in accordance with the bank mandate. The company name appears on the cheque.

If the bank dishonours the cheque as the company has insufficient funds in the account, who is liable for the $260?

A The engineering company
B Alfredo
C The bank
D No one **(2 marks)**

6.6 Which of the following items would be likely to be paid out of petty cash?

(i) Payment to window cleaner $10
(ii) Hire purchase payment for a delivery van $123
(iii) A payment for postage stamps $11.60
(iv) A payment to a supplier for goods bought on credit of $65

A All of the above
B (i), (iii) and (iv)
C (i) only
D (i) and (iii) **(2 marks)**

6.7 Boris is employed as an accounting technician in the payables ledger section of a contract cleaning company.

Upon making a payment to a supplier, what is the sequence of events that Boris should carry out?

A Draw up a cheque for signing, check invoice with goods received note, check invoice with purchase order, check invoice calculation

B Check invoice with purchase order, draw up a cheque for signing, check invoice with goods received note, check invoice calculation

C Check invoice with purchase order, check invoice with goods received note, check invoice calculation, draw up a cheque for signing

D Check invoice calculation, draw up a cheque for signing, check invoice with purchase order, check invoice with goods received note **(2 marks)**

6.8 Which of the following should be classified as liabilities?

(i) Trade receivables
(ii) Sales tax payable
(iii) Trade payables
(iv) Drawings

A (i) and (ii)
B (ii) and (iii)
C (iii) and (iv)
D (ii) and (iv) **(2 marks)**

6.9 Which item will appear as a debit balance in the ledger accounts?

A Capital
B Bank overdraft
C Trade payables
D Inventory **(2 marks)**

6.10 Which of the following summaries is correct?

	Capital	*Assets*	*Liabilities*
A	$35,000	$24,000	$11,000
B	$21,000	$15,000	$36,000
C	$25,000	$33,000	$8,000
D	$33,000	$25,000	$8,000

(2 marks)

6.11 Joanne has just started-up a business. She introduced $10,000 of her own savings, equipment worth $2,500 and obtained a bank loan of $1,000.

What is the correct balance on Joanne's capital account following these transactions?

A $10,000
B $13,500
C $12,500
D $11,000 **(2 marks)**

6.12 Which of the following is the correct posting to record a cash purchase of $300 from Amdale?

A	Debit Purchases $300	Credit Amdale $300
B	Debit Amdale $300	Credit Purchases $300
C	Debit Purchases $300	Credit Bank $300
D	Debit Bank $300 Credit	Purchases $300

(2 marks)

6.13 Which of the following items would appear on opposite sides of a trial balance?

A Inventory and Drawings
B Sales and Returns out
C Carriage in and Carriage out
D Trade receivables and Returns out **(2 marks)**

6.14 East buys goods from South on credit. Which one of the following is the correct double entry for this transaction in East's books?

A	Dr Purchases	Cr Cash
B	Dr Purchases	Cr South
C	Dr Cash	Cr Purchases
D	Dr South	Cr Purchases

(2 marks)

6.15 The trade receivables control account balance is $1,000 and the total of the individual trade receivables balances is $850.

Which of the following errors could account for this difference?

A A receipt from a credit customer $150 was recorded twice in the receivables ledger and control account

B A receipt from a credit customer $150 was not recorded at all in the receivables ledger

C A receipt from a credit customer $150 was not recorded at all in the control account

D A receipt from a credit customer $150 was recorded twice in the control account

(2 marks)

6.16 The following are the year end balances in Sam's ledgers:

	$
Sales	43,000
Purchases	16,000
Equipment	22,000
Overdraft	8,000
Inventory	19,000
Capital	6,000

What is the trial balance total?

A $43,000
B $57,000
C $63,000
D $114,000 **(2 marks)**

6.17 Janice buys a dress costing $130, shoes costing $70 and a jacket costing $190. These are all gross figures, inclusive of sales tax at 20%.

How much sales tax in total has Janice paid?

A $65.00
B $68.00
C $75.00
D $78.00 **(2 marks)**

6.18 Sarah runs her own business and is registered for sales tax. This week her purchases were $2,400 **inclusive** of sales tax and her sales were $1,000 **exclusive** of sales tax.

The rate of sales tax is 20%.

At the end of the week what will the sales tax account in her ledger show?

A $240 receivable
B $240 payable
C $200 receivable
D $200 payable **(2 marks)**

6.19 Idris is a sales tax registered trader. On 1 October he purchases carpets for his new showroom at the list price of $2,000. He is given a trade discount of 10% and the sales tax rate is 20%.

What sum will Idris be invoiced, inclusive of sales tax?

A $2,400
B $2,640
C $1,760
D $2,160 **(2 marks)**

6.20 Which of the following is a record of prime entry?

A Receivables ledger control account
B Journal
C Purchase invoice
D Trial balance **(2 marks)**

6.21 Jonathan sends a debit note to one of his suppliers.

In which of Jonathan's books of prime entry would this be recorded?

A Sales
B Purchases
C Sales returns
D Purchase returns **(2 marks)**

6.22 In which books of prime entry would the following transactions be entered?

A credit sale for $387 and a cash sale of $200 less 10% discount for cash payment.

A The cash book and sales day book
B The petty cash book and sales day book
C The purchase day book and sales day book
D The journal and cash book **(2 marks)**

6.23 Rivano has a balance of $350,000 on its payables ledger control account at the end of May.

What does this mean?

A It has bought $350,000 of goods in May
B It is owed $350,000 by its customers
C It owes $350,000 to its suppliers
D It has paid $350,000 to its suppliers in May **(2 marks)**

6.24 Phillip's bank reconciliation statement shows outstanding lodgements paid in by Phillip of $3,800 and outstanding cheques to suppliers of $3,500. His bank account in his ledger shows a debit balance of $25,000.

What balance does Phillip's bank statement show?

A $25,000
B $24,700
C $25,300
D $32,300 **(2 marks)**

6.25 Which of the following would **normally** be entered through the journal?

A Credit purchase returns
B Transfers between accounts
C Receipts from credit customers
D Expense payments **(2 marks)**

6.26 For the month of May, the following figures have been extracted from a trader's records concerning wages.

(i) Employees' pension contribution $678
(ii) Gross basic wages $9,900
(iii) Income tax $2,000
(iv) Employer's pension contribution $925

What will be the total charge for wages and salaries in the final accounts?

A $10,825
B $10,578
C $11,503
D $13,503 **(2 marks)**

6.27 Anish manufactures wooden pallets and employs people on a piece rate scheme of $2.00 per pallet made. If an employee produces more than 200 pallets in a week, any extra pallets made over 200 are paid at a rate of $3.00 per pallet. All employees have a guaranteed minimum weekly wage of $375.

Last week an employee produced 235 pallets.

What will the employee's gross pay be for last week?

A $400
B $375
C $505
D $370 **(2 marks)**

6.28 Which of the following would be classed as revenue expenditure for a shop?

(i) Assistants' wages
(ii) Business rates paid
(iii) Purchase of a new shop counter
(iv) Repainting the outside of the shop

A (i) and (ii)
B (i), (ii) and (iii)
C (i), (ii) and (iv)
D (iii) and (iv) **(2 marks)**

6.29 An item of capital expenditure was incorrectly treated as revenue expenditure.

What effect did this have on the accounts?

A Expenses were understated and non-current assets understated
B Expenses were overstated and non-current assets understated
C Expenses were understated and non-current assets overstated
D Expenses were overstated and non-current assets overstated **(2 marks)**

6.30 Matthew is preparing a trial balance which balances despite Matthew making an error. He has mis-classified capital expenditure as revenue expenditure.

What is this type of error known as?

A A posting error
B An error of principle
C An error of omission
D A compensating error **(2 marks)**

6.31 The total of the discounts allowed column in the cash book is $150.

How should this item be posted in the ledger?

A Dr Discount Allowed
B Cr Discount Allowed
C Dr Discount Received
D Cr Discount Received **(2 marks)**

6.32 The following are the year end balances in a business' ledgers:

	$
Sales	628,000
Cost of sales	458,000
General overheads	138,000
Trade Payables	54,000
Trade Receivables	?
Cash on deposit	61,000
Capital	86,000

If the trial balance balances, what is the missing figure for trade receivables?

A $61,000
B $111,000
C $233,000
D $387,000 **(2 marks)**

6.33 Which of the following is the correct posting to record a discount received from a supplier?

A	Dr Trade payables	Cr Bank
B	Dr Trade receivables	Cr Bank
C	Dr Trade payables	Cr Discounts received
D	Dr Trade receivables	Cr Discounts received

(2 marks)

6.34 A bookkeeper has made the following errors:

A cash transaction of $100 not entered in the books at all.

A discount received of $30 was entered in the debit side of discounts allowed and correctly posted to the trade payables account.

$300 cash drawings were entered in the repairs expense account and correctly posted in the cash book.

What would be the balance on the suspense account before these errors were corrected?

A Cr $30
B Dr $100
C Cr $300
D Cr $60 **(2 marks)**

6.35 Which of the following methods of payment is Tariq most likely to use to pay for his weekly food shopping?

A Debit card
B Standing order
C Direct debit
D Bankers draft **(2 marks)**

6.36 Selina receives a cheque from her sister

What term describes Selina's role in this transaction?

A Payer
B Drawer
C Payee
D Drawee **(2 marks)**

6.37 According to Arnold's records his business bank account is overdrawn by $2,600, yet the balance shown on his bank statement is only $1,200 overdrawn.

Assuming no errors have been made by Arnold or the bank, what could account for this difference?

A Bank interest of $1,400 charged by the bank
B Customers' cheques totalling $1,400 paid into the bank by Arnold
C Unpresented cheques posted to suppliers totalling $1,400
D A $1,400 increase in the business overdraft facility **(2 marks)**

6.38 Marion's cash book shows a month end debit balance of $13,100. Her bank statement, however, shows a different figure. Marion has identified four differences:

(i) Bank charges of $950 have been deducted during the last quarter, but not yet entered in the cash book

(ii) A cheque for $11,600 paid to a creditor has not yet been presented to Marion's bank

(iii) A customer's cheque for $6,820 paid into the bank has not yet been cleared

(iv) Marion had forgotten that an annual direct debit of $1,020 was due, and this has been taken from the account

What is the balance on Marion's bank statement at the end of the month?

A $10,290
B $11,130
C $15,910
D $17,880 **(2 marks)**

6.39 Which is the correct double entry for the write-off of an irrecoverable debt?

A	Dr Trade receivables	Cr Irrecoverable debts
B	Dr Trade payables	Cr Irrecoverable debts
C	Dr Irrecoverable debts	Cr Trade receivables
D	Dr Irrecoverable debts	Cr Trade payables

(2 marks)

(2 marks per question = 78 marks)

Answers to Mixed bank 2

6.1 B

	$
Goods purchased	800
Payment including discount (360 × 10/9)	(400)
Balance due	400

6.2 B

A is a list of transactions during a period.
C is a request for payment issued to a customer.
D is a request for payment received from a supplier.

6.3 B

A is a request for payment.

C is a request for payment made in pursuance of a legal or insurance matter, not a normal business transaction.

D is issued to a supplier in order to request a credit note.

6.4 A

B crossing a cheque will not affect clearing time.
C a cheque is crossed to **stop** it being paid into any other account.
D crossing a cheque does not serve this purpose.

6.5 A The account is in the name of the company, Alfredo is a signatory acting on behalf of the company. The bank is not responsible for maintaining funds in the account.

6.6 D Hire purchase payments and credit purchases are not paid in cash.

6.7 C Boris should make all the necessary checks before drawing up the cheque.

6.8 B Trade receivables are current assets and drawings are deducted from capital.

6.9 D The others all represent amounts owing, so are credit balances.

6.10 C Assets = Capital + Liabilities.

6.11 C Joan has contributed $10,000 cash and $2,500 equipment. The bank loan is a liability.

6.12 C As this is a cash sale, there will be no account for Amdale. Bank payments are a CR to the bank account.

6.13 D Returns out are CR to purchases. Inventory and drawings are both DR, carriage in and carriage out are both DR.

6.14 B As this is a credit purchase, the CR entry will be to South's account.

6.15 C A would not cause any difference. B and D would cause the control account balance to be *lower.*

6.16 B

	Dr	*Cr*
	$	$
Sales		43,000
Purchases	16,000	
Equipment	22,000	
Overdraft		8,000
Inventory	19,000	
Capital		6,000
	57,000	57,000

6.17 A Total (130 + 70 + 190) = 390 × 20/120 = $65.00

6.18 C

Purchases 2400 × 20/120	400 receivable
Sales 1000 × 20%	(200) payable
	receivable

6.19 D 2000 × 90% × 120% = 2,160

6.20 B

A is part of the general ledger.
C is a source document.
D is a list of account balances.

6.21 D Jonathan is returning goods and requesting a credit note.

6.22 A The credit sale will be entered in the sales day book and the cash sale in the cash book.

6.23 C The account balance represents the cumulative amount owed to suppliers after any payments have been made.

6.24 B

	$
Ledger account	25,000
Outstanding lodgements	(3,800)
Unpresented cheques	3,500
	24,700

6.25 B

A, C and D are all normal transactions. Journal entries are used to make one-off or non-regular postings.

6.26 A

	$
Gross basic wages	9,900
Employer's pension contribution	925
	10,825

(Employee's pension contribution and income tax are already included in gross basic wages)

6.27 C

	$
235 × 2	470
$1 extra × 35	35
	505

6.28 C The new counter will be capital expenditure.

6.29 B The capital expenditure should have been debited to non-current assets, not expenses. So non-current assets will be understated and expenses overstated.

6.30 B This is more than just a posting error, as it involves different classes of account.

6.31 A Discount allowed is a cost, so will be debited.

6.32 B

	DR $	*CR* $
Sales		628,000
Cost of sales	458,000	
General overheads	138,000	
Trade payables		54,000
Cash on deposit	61,000	
Capital		86,000
	657,000	
Missing debit (Trade receivables)	111,000	
	768,000	768,000

6.33 C The discount reduces the amount owed, so is a debit to the trade payables account, and a credit to discounts received.

6.34 D The only transaction which would generate a suspense account entry is the discount received of $30 debited to discounts allowed. What is significant is not that it was posted to the wrong account, but that it was posted as a debit rather than a credit. This will need to be balanced by a $60 credit entry in the suspense account.

6.35 A B and C are for regularly occurring payments and D would not be any use unless he knew in advance how much he would spend.

6.36 C Selina has received the payment so she is the payee. B is the term for the one writing the cheque. A and D are not terms commonly used in relation to cheques.

6.37 C A and B would have the opposite effect and D would have no effect.

6.38 C

	$
Cash book balance	13,100
Bank charges	(950)
Unpresented cheque	11,600
Uncleared lodgement	(6,820)
Direct debit	(1,020)
Bank statement balance	15,910

6.39 C Trade receivables will be reduced, so they are credited, and the debit is to the irrecoverable debts expense account.

The other options are examples of revenue expenditure.

Mixed bank 3

Test your knowledge of the syllabus with this set of 50 questions.

This is the same length as your exam paper and should be attempted at one sitting but need not be timed.

Then revise any areas of weakness and attempt the mock exams under timed conditions.

7.1 If goods are bought on credit, the seller issues which document?

A A debit note
B A statement
C An invoice
D A goods received note **(2 marks)**

7.2 Which of the following transactions are cash transactions?

(i) Purchase of goods for $200 payable in cash in one week's time
(ii) Writing a cheque for the purchase of a new computer
(iii) Receipt of a cheque from a customer for goods purchased today
(iv) Purchase of goods where payment is due in three weeks' time

A (i) and (ii)
B (ii) and (iii)
C (iii) and (iv)
D (i) and (iv) **(2 marks)**

7.3 When the proprietor of a business takes cash (drawings) or goods for their own use, this is treated as withdrawal of profit rather than expenses incurred. This demonstrates which important accounting convention?

A The accounting equation
B Capital rather than revenue expenditure
C Double entry bookkeeping
D A business is a separate entity from its owners **(2 marks)**

7.4 Spelding purchases goods with a list price of $1,500. The supplier offers a trade discount of 10% and a cash discount of 6% if payment is made within 30 days of the invoice date. How much will Spelding pay in total if it pays within 30 days?

A $1,500
B $1,350
C $1,269
D $1,410 **(2 marks)**

7.5 Which transactions could be most usefully made by direct debit?

A The monthly mobile phone bill
B Purchase of office sundries
C Monthly employee salaries
D Refunds to customers **(2 marks)**

7.6 Which of the following would be classified as revenue expenditure?

A The purchase of a new van
B The customising of the van's interior
C The delivery charges for the van
D The road fund licence **(2 marks)**

7.7 What is the double entry required for discounts allowed to customers?

A	DR Purchase ledger control account	CR Discounts allowed
B	DR Sales ledger control account	CR Discounts allowed
C	DR Discounts allowed	CR Sales ledger control account
D	CR Discounts allowed	CR Purchase ledger control account

(2 marks)

7.8 Which payment is most likely to be made by standing order?

A Parking penalty
B Bank charges
C Credit card bill
D Mortgage payment **(2 marks)**

7.9 Which of the following statements is true with respect to a remittance advice note?

A It is sent to a customer to advise them of the amount due
B It is sent to the bank to instruct them to make a payment
C It is sent to a supplier to advise them of the amount being paid
D It is an internal document recording amounts received from customers **(2 marks)**

7.10 A receivables ledger control account shows a balance of $46,300, while the list of balances totals $47,900. The following discrepancies are discovered:

(i) A credit balance of $200 has been included in the list of balances as a debit
(ii) A refund of $775 has not been posted to the receivables ledger control account
(iii) One page of the sales day book has been undercast by $425

What is the reconciled balance?

A $47,900
B $47,500
C $47,075
D $48,300 **(2 marks)**

7.11 Jack buys goods worth $6,200 from Jill. On $3,000 worth he gets trade discount of 15%, no trade discount is available on the rest. However Jack always makes sure that he pays within 10 days in order to obtain Jill's settlement discount of 4%.

How much will Jack pay Jill?

A $5,622
B $5,520
C $5,270
D $5,220 **(2 marks)**

7.12 Which document will a business issue to a cash customer?

A A receipt
B A purchase order
C A goods received note
D A remittance advice **(2 marks)**

7.13 Which of the principal financial statements demonstrates how well a business has performed over an accounting period?

A Statement of financial position
B Control account reconciliation
C Bank reconciliation
D Statement of profit or loss **(2 marks)**

7.14 On the first day of every month cash is drawn from the bank to restore the petty cash imprest level to $75. The opening balance on 1 November was $22; on that date $53 was drawn from the bank and expenditure during the month was £16

How much should be drawn from the bank to restore the imprest level on 1 December?

A $75
B $53
C $37
D $16 **(2 marks)**

7.15 Clarence's business has net assets of $24,650 at the beginning of the year. During the following month he purchases new equipment for $6,500, makes sales on credit of $18,400, receives payments from customers of $10,750 and receives bills from suppliers of $7,980. These are not payable until next month.

What are the net assets at the end of the month?

A $41,900
B $35,650
C $35,070
D $30,820 **(2 marks)**

7.16 You have purchased sundry office supplies form a local shop, paying with a company cheque.

How should this transaction be recorded?

A DR Office supplies CR Payables
B DR Cash CR Payables
C DR Office supplies CR Cash
D DR Payables CR Cash **(2 marks)**

7.17 Your assistant bookkeeper has presented you with the following receivables ledger control account

RECEIVABLES LEDGER CONTROL ACCOUNT

	$		$
Opening balance	1,683	Cash received	14,228
Sales	15,899	Sales returns	1,467
Discounts allowed	900	Bad debts written off	245
		Balance c/d	2,542
	18,482		18,482

Which of the following items is/are on the wrong side of the account?

A Opening balance
B Discounts allowed only
C Sales returns only
D Discounts allowed and sales returns **(2 marks)**

7.18 You send a cheque to one of your credit suppliers to pay an amount due. How is this posted to the general ledger?

A DR Purchases CR Cash
B DR Purchases CR Payables ledger control account
C DR Payables ledger control account CR Cash
D DR Payables ledger control account CR Purchases **(2 marks)**

7.19 Which of the following would cause a trial balance imbalance?

A An error of principle
B A compensating error
C An error of single entry
D An omitted account **(2 marks)**

7.20 The balance on the receivables ledger control account is $126 more than the list of customer balances.

This could be caused by which one of the following?

A An invoice for $126 omitted from the sales day book
B A credit note for $126 omitted from the sales returns day book
C A customer refund of $126 posted twice to the receivables ledger
D A credit note for $63 entered twice into the receivables ledger **(2 marks)**

7.21 These are the year end balances for Arthur's business.

	$
Sales	93,090
Purchases	56,725
Inventory	15,980
Cash	17,465
Receivables	24,970
Office equipment	8,400
Payables	
Capital	20,000

If the trial balance balances, what is the missing figure for payables?

A $30,450
B $13,250
C $2,050
D $10,450 **(2 marks)**

7.22 Peter makes sales in the quarter of $50,226 including sales tax at 20%. His total purchases net of sales tax are $23,980.

How much should he pay to the tax authorities?

A $6,048.53
B $5,249.20
C $4,374.33
D $3,575.00 **(2 marks)**

7.23 All of Martina's sales are subject to sales tax at 20%. She invoices a customer for $2,500 plus sales tax and receives a cheque in full payment the following month.

How is the cheque posted to the general ledger?

A	DR Cash	$3,000	
	CR Sales		$2,500
	CR sales tax		$500
B	DR Receivables ledger control account	$2,500	
	DR sales tax	$500	
	CR Cash		$3,000
C	DR Cash	$2,500	
	DR sales tax	$500	
	CR Sales		$3,000
D	DR Cash	$3,000	
	CR Receivables ledger control account		$3,000

(2 marks)

7.24 Mary has not registered for sales tax as her turnover is below the limit. Her sales for the quarter are $2,300 on which no sales tax is charged. Her total outgoings are $1,250, of which $750 is for items not subject to sales tax. The prevailing sales tax rate is 20%

If Mary had been registered for sales tax, how much would she owe to the tax authorities for the quarter?

A $376.67
B $300.00
C $251.67
D $210.00 **(2 marks)**

7.25 A sole trader has received an invoice from a supplier.

In which book of prime entry (manual or computerised) will this be entered?

A The cash book
B The purchase day book
C The journal
D The sales day book **(2 marks)**

7.26 Which of the following is the correct posting from the purchase day book to the general ledger?

A	DR Purchases	CR Payables control account
B	DR Cash	CR Payables control account
C	DR Payables control account	CR Purchases
D	DR Payables control account	CR Cash

(2 marks)

7.27 Tony has returned goods to a supplier because they were faulty, and the supplier has sent him a credit note.

In which record of prime entry will this be recorded?

A The cash book
B The sales returns day book
C The purchase returns day book
D The sales day book **(2 marks)**

7.28 The year end balance on Mel's receivables control account stands at $6,650.

What does this mean?

A Customers owe Mel $6,650
B Mel owes $6,650 to suppliers
C Mel has received goods valued at $6,650 on credit
D Mel has supplied $6,650 worth of goods on credit **(2 marks)**

7.29 Which of the following transactions would appear as a debit on the bank statement?

(i) $235.00 cash paid into the bank
(ii) Standing order payment of $560
(iii) Cheque payment of $1,756
(iv) Interest of $23 earned on the bank balance

A (i) and (ii)
B (ii) and (iii)
C (iii) and (iv)
D (i) and (iv) **(2 marks)**

7.30 Kate is reconciling her cash book to the bank statement. Her cash balance is $3,504 and the balance on her statement is $695 overdrawn. She finds the following differences: bank charges of $50 and direct debits totalling $325 have not been posted to the cash book; there are unpresented cheques of $554; she paid in a batch of cheques two days ago totalling $4,148 and these have not yet been credited to her account; a cheque she paid in last week for $230 has been dishonoured.

What will the reconciled balance be?

A $7,098
B $3,274
C $2,899
D $2,669 **(2 marks)**

7.31 In reconciling the payables control account to the payables ledger, the following discrepancies are noticed: a credit note for $65 has been posted to the wrong side of the control account; the payables ledger has not been adjusted for a receivables ledger offset of $750; an account with a credit balance of $197 has been omitted from the list of payables ledger balances. The balance on the payables control account is $5,925. The balance on the payables ledger is $6,348.

What is the reconciled balance?

A $5,860
B $5,795
C $5,401
D $5,342 **(2 marks)**

7.32 An invoice for $84 has been recorded in the sales day book as $48. When the sales ledger reconciliation is performed, adjustments will be required to:

A The control account only
B The list of balances only
C Both the control account and the list of balances
D Neither the control account nor the list of balances **(2 marks)**

7.33 Which of the following balances would appear on the same side of the trial balance?

A Drawings and trade payables
B Drawings and purchases
C Capital and purchases
D Capital and assets **(2 marks)**

7.34 The source document for recording petty cash transactions is:

A An invoice
B A till receipt
C A petty cash IOU
D A petty cash voucher **(2 marks)**

7.35 Teresa's gross annual salary is $48,900. In March she pays $864 tax and $375 employee's benefit contribution. Employer's benefit contribution is $402.

How much does Teresa take home in March?

A $3,673
B $2,836
C $2,809
D $2,434 **(2 marks)**

7.36 Fred receives an annual salary of $35,000 and commission of 7% on all sales above a monthly threshold of $50,000. In September sales invoiced amount to $57,300.

What was Fred's gross salary for September?

A $3,427.67
B $2,959.25
C $2,916.67
D $2,405.27 **(2 marks)**

7.37 A company's payroll for the month is as follows: Gross pay $439,260; Tax $ 109,815; Employer's benefit contribution $37,420; Employees' benefit contribution $36,605.

What will the total net pay paid to employees be?

A $365,235
B $292,840
C $292,025
D $255,420 **(2 marks)**

7.38 How is income tax deducted from the gross salaries of employees accounted for in the business's books?

A As an asset and a liability
B As a liability and an expense
C As income and an asset
D As an expense and an asset **(2 marks)**

7.39 Which of the following correctly sets out the accounting equation:

A Net assets = Capital – Profit – Drawings
B Net assets = Capital – Profit + Drawings
C Net assets = Capital + Profits + Drawings
D Net assets = Capital + Profits – Drawings **(2 marks)**

7.40 Montgomery gives his customers a 6% discount for prompt payment.

What is the double entry to record this?

A	DR Receivables ledger control account	CR Discounts allowed
B	DR Discounts allowed	CR Receivables ledger control account
C	DR Receivables ledger control account	CR Discounts received
D	DR Discounts received	CR Receivables ledger control account

(2 marks)

7.41 Benny buys goods with a list price of $4,360 on which he receives 10% trade discount. His supplier offers 5% discount for payment within ten days. Benny pays half of the invoiced amount within ten days and the balance three weeks later.

What is the total amount of money that he will pay for this order?

A $3,825.90
B $3,727.80
C $4,142.00
D $3,706.00 **(2 marks)**

7.42 Discounts received of $200 have been debited to discounts allowed.

How will this affect the trial balance?

A Debits will be $400 more than credits
B Credits will be $400 more than debits
C Debits will be $200 more than credits
D The trial balance will not be affected **(2 marks)**

7.43 Which of the following items would be considered for writing off as a bad debt (ie irrecoverable)?

A A sale made for cash
B A credit sale made within the last month
C A credit sale over the business's credit limit
D A credit sale to a customer who has ceased to trade because of bankruptcy **(2 marks)**

7.44 When preparing a bank reconciliation, which of the following would require adjustment to the cash book ledger account?

(i) Outstanding lodgements
(ii) Unpresented cheques
(iii) Standing order
(iv) Bank charges

A (i) and (ii)
B (ii) and (iii)
C (iii) and (iv)
D (i) and (iv) **(2 marks)**

7.45 Which one of these errors will give rise to a suspense account entry?

A A transposition error
B An error of principle
C An error of omission
D A compensating error **(2 marks)**

7.46 Anna sends a cheque to a supplier and encloses with it a document detailing the invoice being paid.

What is this document called?

A Supplier's statement
B Debit note
C Remittance advice
D Remittance list **(2 marks)**

7.47 Colin has a month-end balance on his cash book of $942. Cheques totalling $834 are unpresented as at the statement date and there are bank charges of $35. The statement also shows a direct transfer of funds from a customer of $322.

What is the balance on his bank statement?

A $1,229 in credit
B $1,229 overdrawn
C $2,063 in credit
D $395 in credit **(2 marks)**

7.48 Which of the following should be classified as assets?

A Payables
B Motor vehicles
C Discounts received
D Tax payable **(2 marks)**

7.49 Which of these will appear as a debit balance in the accounts?

A Sales
B Payables
C Capital
D Discounts allowed **(2 marks)**

7.50 Which of the following would be classified as capital expenditure?

A Extension of business premises
B Cleaning of business premises
C Wages of factory workers
D Protective clothing for factory workers **(2 marks)**

(2 marks per question = 100 marks)

Answers to Mixed bank 3

7.1 C

- A is issued by the buyer to request a credit note.
- B is a summary of the buyer's account.
- D is an internal document issued when goods are received.

7.2 B Payment is made at the time of the transaction in items (ii) and (iii). For items (i) and (iv) payment is made at a later date; these are therefore credit transactions.

7.3 D For accounting purposes business assets and liabilities are kept separate from those of the owner.

7.4 C \$1,500 less 10% trade discount = \$1,350 less 6% cash discount = \$1,269

7.5 A

B would most likely be paid through petty cash, C through BACS and D by cheque or electronic transfer.

7.6 D

A, B and C are all part of the capital cost of the van.

7.7 C

7.8 D Standing orders are used for regular payments of the same amount.

7.9 C Trade customers usually send a remittance advice with their payment.

7.10 B

RECEIVABLES LEDGER CONTROL ACCOUNT

	$		$
Opening balance	46,300	Balance c/f	47,500
Refund	775		
Undercast	425		
	47,500		47,500

	$
Receivables ledger balances	47,900
Correct misposting	(400)
	47,500

7.11 B

	$
Original price	3,500
Trade discount (2,000 × 20%)	(400)
	3,100
Settlement discount (3,100 × 5%)	(155)
	2,945

7.12 A

- B is issued to place an order for goods.
- C is issued by the warehouse when deliveries are received
- D is sent with a payment.

7.13 D A provides a snapshot of a business's financial situation at a specific moment in time. B and C are internal checks or controls that accountants carry out.

7.14 D Opening balance plus cash less expenditure: \$22 + 53 – 16 = 59. Therefore 75 – 59 = 16 being the amount required to top up the imprest level

7.15 C

	$
Opening net assets	24,650
Receivables	18,400
Payables	(7,980)
	35,070

Note. The purchase of equipment (DR non-current asset, CR cash/payables) and the receipts from customers (DR cash, CR receivables) have a nil effect on total net assets.

7.16 C This is a cash payment, so the office supplies shop is not a supplier with whom you have an account.

7.17 B

All the other items are on the correct side of the account

7.18 C

A would record a cash purchase.
B would record an invoice from a supplier.
D would record a credit note.

7.19 C An error of single entry violates the double entry principle.

7.20 C

A and B would affect both the receivables ledger and the receivables ledger control account.

D would only make a difference of $63.

7.21 D

	Dr	*Cr*
	$	$
Sales		93,090
Purchases	56,725	
Inventory	15,980	
Cash	17,465	
Receivables	24,970	
Office equipment	8,400	
Payables		
Capital		20,000
	123,540	123,540

7.22 D

	$
Output tax (50,226 × 20/120)	8,371.00
Input tax (23,980 × 20%)	(4,796.00)
Due to tax authorities	3,575.00

7.23 D The sales tax element will have been accounted for in posting the invoice.

7.24 A

	$
Output tax (2,300 × 20%)	460.00
Input tax ((1,250 – 750) × 20/120)	(83.33)
Due to tax authorities	376.67

Note. Her outgoings will include any applicable sales tax.

7.25 B This is the book of prime entry in which invoices from suppliers are recorded.

7.26 A The purchase day book records invoices. No cash is involved as in B and D. C represents the posting of a credit note.

7.27 C

A records receipts and payments.
B records credit notes sent to customers.
D records sales invoices.

7.28 A

7.29 B Transactions 1 and 4 will appear as credit items on the bank statement.

7.30 C

	Cash book	*Bank statement*
	$	$
	3,504	(695)
Bank charges	(50)	
Direct debits	(325)	
Dishonoured cheque	(230)	
	2,899	
Unpresented cheques		(554)
Uncleared banking		4,148
		2,899

7.31 B

PAYABLES CONTROL ACCOUNT

	$		$
Adjustment re. credit note	130	Balance b/f	5,925
Balance c/f	5,795		
	5,925		5,925

Payables ledger	$
Balance	6,348
Receivables ledger offset	(750)
Omitted account	197
	5,795

7.32 C The invoice will have been recorded incorrectly in the customer's account and in the control account, via the total posted from the sales day book.

7.33 B Drawings and purchases are both debit balances on the trial balance.

7.34 D Evidence of expenditure, for example a train ticket, will normally be attached to the voucher.

7.35 B

	$
Monthly gross (48,900/12)	4,075
Tax	(864)
Employee benefit contribution	(375)
Net (take-home) pay	2,836

7.36 A

	$
Monthly gross (35,000/12)	2,916.67
Commission (57,300 – 50,000 × 7%)	511.00
	3,427.67

7.37 B

	$
Gross pay	439,260
Tax	109,815)
Employees' NI	(36,605)
Net pay to employees	292,840

7.38 B The gross amount of salaries is an expense, whilst the tax deducted is payable to the tax authorities, normally within a specified time frame.

7.39 D

7.40 B The discount reduces the amount due from customers, so it is credited to the receivables ledger control account, and it is debited to 'discounts allowed' in the statement of profit or loss.

7.41 A

	$
Purchase price (4,360 × 90%)	3,924.00
Discount ((3,924/2) × 5%)	(98.10)
	3,825.90

7.42 A Posting to the wrong account will not affect the trial balance. However, the posting to discounts received should be a credit, not a debit, so the difference is $200 x 2.

7.43 D A customer who has ceased to trade because of bankruptcy may not be able to pay amounts due and a write-off of the debt may be necessary.

7.44 C Items (i) and (ii) are the reconciling items

7.45 A For example, entering $745 on the debit side and $754 on the credit side.

Options B and D would affect both sides of the trial balance equally, whilst option C would have no effect.

7.46 C A remittance advice may be a tear-off slip at the bottom of the invoice, which can be submitted to the supplier together with the payment.

7.47 C

	$
Original cash book balance	942
Bank charges	(35)
Transfer in	322
Corrected cash book balance	1,229
Unpresented cheques	834
Balance per bank statement	2,063

7.48 B

A is a liability.
C is income.
D is an asset

7.49 D

The others are all credits.

7.50 A

The other options are examples of revenue expenditure.

Mock Exams

Foundations In Accountancy
Paper FA1
RECORDING FINANCIAL TRANSACTIONS

Mock Examination 1
(Specimen Exam June 2014)

Question Paper	
Time allowed	2 hours
ALL FIFTY questions are compulsory and MUST be attempted	

DO NOT OPEN THIS PAPER UNTIL YOU ARE READY TO START UNDER EXAMINATION CONDITIONS

1 Which of the following is an example of capital expenditure?

A Paying for refurbishment as part of upgrading a building
B Paying carriage outwards in respect of selling goods
C Paying legal fees in order to recover customer debts
D Paying bonuses to production operatives **(2 marks)**

---

2 Vic's receivables ledger balances total $50,000, which does not agree with his trade receivables control account. The following errors were found:

A/R 50000
(750)
(2000)
47250

(i) A credit note for $750 was not recorded in the receivables ledger.

(ii) Receipts from credit customers of $2,000 were entered in the control account but not in the receivables ledger.

What should be the total of the balances on his receivables ledger after correcting the following errors?

A $52,750
B $50,000
C $49,250
D $47,250 **(2 marks)**

---

3 Christa pays her mortgage by instructing her bank to make monthly payments of a fixed amount from her current account. When the mortgage rate changes she issues revised instructions to the bank.

Which method of payment is Christa using?

A Standing Order
B Payable Order
C Direct Debit
D Crossed cheque **(2 marks)**

---

4 A firm has a credit facility with a local trade supplier. An invoice for purchases has been credited to the supplier's account and debited to the sales account.

Which of the following journal entries will correct the error?

A	Dr Sales account	Cr Supplier account
B	Dr Supplier account	Cr Sales account
C	Dr Purchases account	Cr Sales account
D	Dr Sales account	Cr Bank account

(2 marks)

---

5 Which of the following would be on the credit side of the receivables ledger control account?

(i) Cash received
(ii) Irrecoverable debts
(iii) Discounts allowed
(iv) Sales

A (i), (ii) and (iii) only
B (ii) and (iv) only
C (i) and (iv) only
D (i), (ii), (iii) and (iv) **(2 marks)**

6 The following is a summary of the petty cash transactions for a week:

Income	$	*Expenditure*	$
Opening balance	500	Travelling expenses	150
Sale of stamps	10	Subsistence expenses	250
Sale of paper	50		

500
10
50
(400)
160

Petty cash is maintained using the imprest system.

What sum should be reclaimed by the cashier at the end of the week?

A $160
B $340
C $400
D $500 **(2 marks)**

---

7 The balance on the payables ledger control account should be equal to which other figure in the accounting system?

A The total of the balances on the individual customers' accounts
B The total of the balances on the individual suppliers' accounts
C The unreconciled balance on the receivables ledger control account
D The balance on the receivables ledger control account reconciled for items in transit

(2 marks)

---

8 Louise introduces her car into her business.

Which parts of the business' accounting equation will change?

A Assets and capital
B Capital and profit
C Liabilities and assets
D Capital and liabilities **(2 marks)**

---

9 Freya started in business on 1 September. During September she made cash sales of $6,400 and issued credit sales invoices for $10,200 of which $8,600 had been paid.

6400
10200
16600

What would be the balance of the sales account in the general ledger at the end of September?

A $6,400
B $10,200
C $8,000
D $16,600 **(2 marks)**

---

10 Which of the following journal entries correctly records the credit purchase of plant and equipment?

A	Dr Purchase ledger control account	Cr Plant and Equipment
B	Dr Cash	Cr Plant and Equipment
C	Dr Plant and Equipment	Cr Purchase ledger control account
D	Dr Plant and Equipment	Cr Cash

(2 marks)

---

11 Marvin has a balance of $3,350 on his sales ledger control account but his list of customer balances totals $3,500.

Which of the following balances would explain the difference?

A The total of sales day book was overstated by $150

B A sales return of $150 has been posted in the customer's individual account but not the control account

C A credit note of $150 has not been recorded in the sales day book

D An irrecoverable debt has been accounted for in the control account but not the individual customer account **(2 marks)**

---

12 Albert sold 15 units of inventory with a list price of $40 per unit to Michael. He gives Michael a 10% trade discount and a 5% settlement discount if Michael pays within 30 days.

15
600
(60)
540
( )

What will be the total of the invoice that Albert issues to Michael for this transaction?

A $540
B $600
C $510
D $513 **(2 marks)**

---

13 Which of the following errors would be found by extracting a trial balance?

A A transaction has been completely missed in the accounts.
B The double entries have been made the wrong way round.
C Different figures have been entered for the debit and credit entries.
D An expense item has been posted to a non-current asset account. **(2 marks)**

---

14 Dion performed a purchase ledger control account reconciliation and found the following errors:

Cont Ind
(720) (380)
(380)
(1100)

(i) The purchase day book was overstated by $720
(ii) A credit note for $380 was omitted from the day books altogether

Which of the following shows the necessary adjustments to ensure that the balances reconcile at the correct amount?

A Dr Purchase ledger control account $1,100, Subtract $380 from the list of supplier balances
B Dr Purchase ledger control account $1,100, Add $380 to the list of supplier balances
C Cr Purchase ledger control account $1,100, Subtract $380 from the list of supplier balances
D Cr Purchase ledger control account $1,100, Add $380 to the list of supplier balances

(2 marks)

---

15 Which of the following are benefits of an effective document retention policy to a small business?

(i) To ensure all documents are stored forever
(ii) To meet legal and tax requirements of the business
(iii) To mitigate risks arising from internal and external disputes of the business
(iv) To increase operational efficiency and maintain control over costs

A (i) and (iii) only
B (ii), (iii) and (iv) only
C (i), (ii) and (iv) only
D (i), (ii), (iii) and (iv) **(2 marks)**

---

16 Hywel purchases goods on credit with a list price of $100. The supplier gives Hywel a trade discount of 15% and also offers a cash discount of 10% for payment within 30 days.

What is the amount that Hywel will debit to his purchases account?

A $115.00
B $85.00
C $76.50
D $75.00 **(2 marks)**

---

17 Which of the following are valid reasons for keeping a payables ledger control account?

(i) To obtain a figure for payables to be included in the statement of financial position
(ii) To assist in the location of errors
(iii) To check the accuracy of entries made in personal accounts

A (i) and (ii) only
B (ii) and (iii) only
C (i), (ii) and (iii)
D (i) and (iii) only **(2 marks)**

---

18 A credit sale of goods for $51 to J Davis was entered in the accounts as $15.

What type of error has occurred?

A Compensating error
B Error of omission
C Error of principle
D Error of transposition **(2 marks)**

---

19 Which of the following represents the correct imprest amount in an imprest petty cash system?

A Notes and coins in the cash box – vouchers for payments – IOUs
B Notes and coins in the cash box + vouchers for payments – IOUs
C Notes and coins in the cash box – vouchers for payments + IOUs
D Notes and coins in the cash box + vouchers for payments + IOUs **(2 marks)**

---

20 Which of the following statements are true about a good coding system for financial transactions?

(i) It enables a company to easily extract data for management analysis.
(ii) It provides a unique code for each item within the system.
(iii) It provides codes that are uniform in format.
(iv) It requires management authorisation before creation of new codes.

A (i) and (ii) only
B (iii) and (iv) only
C (ii), (iii) and (iv) only
D (i), (ii), (iii) and (iv) **(2 marks)**

---

21 Which one of the following is the correct posting from the purchase day book?

A	Dr Purchases account	Cr Payables ledger control account
B	Dr Purchases account	Cr Cash book
C	Dr Payables ledger control account	Cr Purchases account
D	Dr Cash book	Cr Purchases account

(2 marks)

---

22 Annabel's cash book shows her to be $2,030 overdrawn. A bank reconciliation, however, shows that a standing order payment for $365 had been entered in the cash book twice, and that a dishonoured customer's cheque for $275 had been debited in the cash book rather than credited.

What is Annabel's true overdraft position?

A $1,845
B $1,940
C $2,120
D $2,215 **(2 marks)**

CB BS
(2030)
365
(550)
(2215)

---

23 Narvinda buys goods from Jamal for $2,500. He returns half of the goods on 15 May.

Which of the following documents would be issued by Jamal for the return of the goods?

A Invoice
B Credit note
C Debit note
D Remittance advice **(2 marks)**

---

24 If a cheque is marked 'Account Payee Only, Not Negotiable' what does this mean?

A The cheque should be paid only into the account of the named drawer
B The cheque should be paid only into the account of the named payee
C The paying bank can deposit the cheque in an account other than the payee
D The receiving bank can deposit the cheque in an account other than the payee

(2 marks)

25 The following statements relate to the aged receivables analysis:

(i) It provides information about debt collection efficiency to the management.
(ii) It identifies when payments are due to be made to suppliers.

Which of the above statements are correct?

A (i) only
B (ii) only
C Both the statements
D Neither of the statements **(2 marks)**

---

26 A credit entry into a ledger account represents which of the following?

A Increase in an expense
B Increase in income
C Increase in an asset
D Increase in drawings **(2 marks)**

---

27 Iwan's payables ledger showed that $2,300 was owed to suppliers at the start of the week. During the week Iwan made purchases of $3,900 although he paid $900 of this in cash. He also paid suppliers $1,000 by cheque.

What is the closing balance on his payables ledger?

A $4,000
B $4,300
C $5,200
D $6,100 **(2 marks)**

---

28 Which of the following errors will require an entry to a suspense account to correct it?

A A credit purchase was completely omitted from the accounting records
B A credit sale was recorded as a cash sale
C The payment of wages was debited to the rent account instead of the wages account
D The cash sale was recorded correctly in the sales account and credited in the bank account
(2 marks)

---

29 What document is usually sent every month from the supplier to the customer, listing all the transactions between them during that month?

A Invoice
B Receipt
C Statement
D Credit note **(2 marks)**

---

30 A company has the following year end payroll information

Gross salaries and wages	$285,350
Income tax deducted	$61,063
Employers' pension contributions	$26,786
Employees' pension contributions	$23,034

What is the company's total payroll cost for the year?

A $312,136
B $274,107
C $396,233
D $308,384 **(2 marks)**

---

31 Walter sells goods to Ninevah with a list price (exclusive of sales tax) of $4,300, offering a 4% trade discount. Sales tax is 20%

What amount should be recorded for this transaction in the sales account (to the nearest $1)?

A $4,850
B $4,128
C $5,053
D $3,513 **(2 marks)**

---

32 Which of the following statements regarding sales tax in the trial balance is true?

A Output tax and input tax are debit balances
B Output tax and input tax are credit balances
C Output tax is a credit balance and input tax is a debit balance
D Output tax is a debit balance and input tax is a credit balance **(2 marks)**

---

33 Which of the following items is a current liability?

A Bank overdraft
B Prepaid salaries
C Depreciation
D Receivables **(2 marks)**

---

34 Sally's balance in her cash book is $160 debit. However her bank statement shows a different amount. On investigation, Sally discovered the following:

(i) A cheque that Sally paid into the bank for $40 is still outstanding

(ii) A cheque for $60 paid by Sally to Molly has not yet been presented

(iii) Sally has forgotten to record a cash withdrawal of $30

(iv) When Sally inspects her bank statement she sees that the bank has deducted charges of $15 from her account

What is the balance on Sally's bank statement?

A $95
B $135
C $185
D $225 **(2 marks)**

CB	BS
160	135
(15)	40
(30)	(60)
115	115

---

35 Avalon gives his customers individual trade discounts from the list price and a general 5% cash discount for all invoices settled within seven days of issue. A new customer, Nolava, negotiates a 25% trade discount. His transactions during June are:

12 June Buys goods with a $5,000 list price
15 June Returns goods with a $1,000 list price as faulty
16 June Pays half of the net balance on his account

How much does Nolava owe Avalon at the end of June?

A $1,425
B $1,500
C $2,000
D $2,850 **(2 marks)**

---

36 Richard has a balance of $350,000 on his payables ledger control account at the end of May.

What does this mean?

A He has bought $350,000 of goods in May
B He is owed $350,000 by his customers
C He owes $350,000 to his suppliers
D He has paid $350,000 to his suppliers in May **(2 marks)**

---

37 Melanie is a sales tax registered trader. Her purchases day book shows purchases of $2,000, net of sales tax at 20%.

What double entry will Melanie post at the end of her day's trading?

A	Dr Purchases	$2,000	
	Cr Payables		$2,000
B	Dr Purchases	$2,400	
	Cr Payables		$2,400
C	Dr Payables	$2,400	
	Cr Purchases		$2,000
	Cr Sales tax		$400
D	Dr Purchases	$2,000	
	Dr Sales tax	$400	
	Cr Payables		$2,400

(2 marks)

38 Seb packs goods on an assembly line. He is paid a different amount each week, depending on his output of assembled goods.

By what method of remuneration is Seb paid?

A Piecework
B Commission
C Hourly rate
D Salaried **(2 marks)**

39 The following ledger balances make up a company's trial balance:

	$
Sales	76,700
Purchases	26,800
Non-current assets	31,400
Payables	18,200
Receivables	32,300
Cash at bank	14,200
Capital	9,800

What is the total of the debit column of the trial balance?

A $94,900
B $104,700
C $105,900
D $209,400 **(2 marks)**

40 Susan is a computer equipment dealer. She uses the following coding system for her financial transactions:

1st number	*2nd number*
100 Purchases	300 Cash
200 Sales	400 Payables
	500 Receivables

Danielle buys computer equipment worth $2,000 on credit from Susan.

Which of the following would be the code recorded on the invoice issued by Susan?

A 100300
B 100400
C 200300
D 200500 **(2 marks)**

41 In Dalveer's cash receipts book for the month of June the trade receivables column totalled $6,570.

What does this amount represent?

A The amount invoiced to Dalveer's customers during June
B The amount owed by Dalveer's customers at the end of June
C The amount received from Dalveer's customers during June
D The amount of discounts given to Dalveer's customers during June **(2 marks)**

---

42 Jenny has a bank balance of $550 at the start of the week. During the week the following transactions occur:

550
400
(900)
50

Day 1 She sells goods on credit for $876

Day 2 She receives a cheque for $400 from a credit customer

Day 3 She purchases office equipment with a list price of $1,000 but receives a 10% discount for paying immediately by cheque

How much does Jenny have in the bank at the end of the week?

A $2,826
B $400
C $50
D $126 **(2 marks)**

---

43 Which of the following are books of prime entry?

(i) Sales day book
(ii) Payables ledger
(iii) Journal
(iv) Cash book

A (i), (iii) and (iv)
B (i), (ii) and (iv)
C (ii), (iii) and (iv)
D (i), (ii) and (iii) **(2 marks)**

---

44 Pimlico owes Vauxhall for some goods it recently bought. Pimlico are settling the invoice early to obtain a discount.

What is the correct double entry for this in Vauxhall's books?

A Dr Vauxhall
Cr Bank
Cr Discount received

B Dr Vauxhall
Dr Discount received
Cr Bank

C Dr Bank
Cr Discount allowed
Cr Pimlico

D Dr Bank
Dr Discount allowed
Cr Pimlico **(2 marks)**

---

45 Fred works on a car factory assembly line and is paid a rate of $4.50/hour for a 35 hour week. All overtime is paid at time and a half. In addition a piecework rate of $25 for every car assembled each week is paid.

Last week Fred worked 46 hours and completed the assembly of three cars.

How much is Fred's gross pay for the week?

A $282.00
B $256.75
C $306.75
D $385.50 **(2 marks)**

---

46 Which of the following will help to reduce overdue balances in receivables ledger accounts?

A Improved debt collection methods
B An increase in the bank overdraft facility
C Credit customers paying invoices more slowly
D An increase in credit facilities to customers **(2 marks)**

---

47 Carion sells the following goods for cash during January:

		Net Price		*Sales Tax*	Total
		$		$	
5 Jan	To Maurice	386	+	68	454
19 Jan	To Harris	715	+	125	840
28 Jan	To Merton	430	+	75	505
					1799

What are the correct entries in Carion's general ledger?

A	Dr Sales $1,799	Dr Sales tax $268	Cr Cash $2,067
B	Dr Cash $2,067	Cr Sales $1,799	Cr Sales tax $268
C	Dr Sales $1,531	Dr Sales tax $268	Cr Cash $1,799
D	Dr Cash $1,799	Cr Sales $1,531	Cr Sales tax $268

(2 marks)

---

48 What journal entry would be posted if a sole trader starts a business by introducing his cash savings and a car into the business?

A	Dr Motor vehicles	Dr Bank	Cr Capital
B	Dr Bank	Cr Motor vehicles	Cr Bank
C	Dr Capital	Cr Motor vehicles	Cr Bank
D	Dr Motor vehicles	Cr Capital	Cr Bank

(2 marks)

---

49 Malindra sent a payment to Nicholas along with a document detailing the items and invoices the payment related to.

What is this document known as?

A Debit note
B Credit note
C Remittance advice
D Delivery note **(2 marks)**

---

50 The following statements relate to the sales ledger control account:

(i) Settlement discounts will not be recorded in the sales ledger control account
(ii) The allowance for the irrecoverable debtors is recorded in the sales ledger control account

Which of the above statements are correct?

A (i) only
B (ii) only
C Both (i) and (ii)
D Neither (i) nor (ii) **(2 marks)**

(2 marks per question = 100 marks)

2200
2000
2001

Q 4.7

May salary

Basic 2200
Bonus 44
April short 200

2444

Ans

2640
÷ 12
2200
× 2%
44

Q

Sus-A/c

B/d	546.27	cash	229.32
		A/R	182
		c/d	134.95
	546.27		546.27

B/d 134.95

B

Answers to Specimen Exam June 2014

1	A	
2	D	($50,000 – 750 – 2,000)
3	A	
4	C	
5	A	
6	B	($250 + 150 – (50 + 10)
7	B	
8	A	
9	D	($10,200 + 6,400)
10	C	
11	D	
12	A	($15 × 40) – (10% of 600)
13	C	
14	A	
15	B	
16	B	($100 – 15% of 100)
17	C	
18	D	
19	D	
20	D	
21	A	
22	D	(–$2,030 – $550 + $365)
23	B	
24	B	
25	A	
26	B	
27	B	($2,300 + $3,000 – $1,000)
28	D	
29	C	
30	A	($285,350 + $26,786)
31	B	($4,300 – 4% of 4,300)
32	C	
33	A	
34	B	($160 – $40 + $60 – $30 – $15)
35	B	½ of ($4,000 – 25% of $4,000)
36	C	
37	D	
38	A	
39	B	($26,800 + $31,400 + $32,300 + $14,200)

40	D	
41	C	
42	C	($950 – $(1,000 – 10% of 1,000)
43	A	
44	D	
45	C	($4.50 × 35) + ($6.75 × 11) + (3 1 × $25)
46	A	
47	D	
48	A	
49	C	
50	D	

Mock Exam 2

1 Which of the following is an example of revenue expenditure?

A An item of factory machinery
B A building to be used as retail premises
C Motor vehicles to be used for delivering goods to customers
D Repair and maintenance of motor vehicles **(2 marks)**

2 At the end of the month Godfrey's payables ledger balances total $3.105. This total does not agree with the closing balance on his trade payables control account. The following errors were found:

(i) A purchase invoice for $350 was entered on the wrong side of a supplier's account in the payables ledger

(ii) A contra entry of $169 was entered in the control account but not in the receivables and payables ledgers

What should be the total of the balances on his payables ledger after correcting the errors?

A $3,455
B $3,636
C $3,805
D $3,974 **(2 marks)**

3 Bob's utility bills (gas, electricity etc) are variable amounts paid by the transfer of funds from his bank account to the account of the utility company.

Which method of payment is Bob using?

A Standing Order
B Payable Order
C Direct Debit
D Crossed cheque **(2 marks)**

4 A business makes sales on credit to its customers. A sales invoice has been debited to the customer's account and credited to the purchases account.

Which of the following journal entries will correct the error?

A	Dr Purchases account	Cr Customer account
B	Dr Customer account	Cr Purchases account
C	Dr Sales account	Cr Purchases account
D	Dr Purchases account	Cr Sales account

(2 marks)

5 Which of the following would be on the debit side of the payables ledger control account?

(i) Cash paid
(ii) Purchase returns
(iii) Discounts received
(iv) Purchases

A (i), (ii) and (iii) only
B (ii) and (iv) only
C (i) and (iv) only
D (i), (ii), (iii) and (iv) **(2 marks)**

6 The following is a summary of a business's petty cash transactions for a week:

Income	$	*Expenditure*	$
Opening balance	250	Travelling expenses	75
Sale of stamps	5	Subsistence expenses	125
Sale of paper	25		

Petty cash is maintained using the imprest system.

What sum should be reclaimed by the cashier at the end of the week?

A $80
B $170
C $200
D $250 **(2 marks)**

---

7 The balance on the receivables ledger control account should be equal to which other figure in the accounting system?

A The total of the balances on the individual suppliers' accounts
B The total of the balances on the individual customers' accounts
C The unreconciled balance on the payables ledger control account
D The balance on the payables ledger control account reconciled for items in transit
(2 marks)

---

8 Marek takes some money from the business bank account to pay some of his personal expenses.

Which parts of the business' accounting equation will change?

A Assets and capital
B Capital and profit
C Liabilities and assets
D Capital and liabilities **(2 marks)**

---

9 Tom started his own business on 1 January. During January he made cash sales of $4,900 and issued credit sales invoices for $12,450 of which $9,500 had been paid by the end of January.

What would be the balance of the receivables ledger control account in the general ledger at the end of January?

A $2,950
B $4,900
C $7,850
D $17,350 **(2 marks)**

---

10 Which of the following journal entries correctly records the purchase of a motor vehicle for cash?

A	Dr Payables ledger control account	Cr Motor vehicles
B	Dr Cash	Cr Motor vehicles
C	Dr Motor vehicles	Cr Payables ledger control account
D	Dr Motor vehicles	Cr Cash

(2 marks)

---

11 The total of the discounts allowed column from the cash receipts book has not been posted for an accounting period.

Which of the following is the correct posting of the discounts allowed total?

A	Dr Discounts allowed	Cr Payables ledger control account
B	Dr Payables ledger control account	Cr Discounts allowed
C	Dr Discounts allowed	Cr Receivables ledger control account
D	Dr Receivables ledger control account	Cr Discounts allowed

(2 marks)

---

12 Martina sold 12 boxes of ink cartridges with a list price of $80 per box to Jorge. She gives Jorge a 12% trade discount and a 5% settlement discount if Jorge pays within 30 days.

What will be the total of the invoice that Martina issues to Jorge for this transaction?

A $960.00
B $912.00
C $844.80
D $802.56 **(2 marks)**

13 Which of the following describes a fundamental breach of the principles of double entry bookkeeping?

A A transaction has been completely missed in the accounts
B The double entries have been made the wrong way round
C Different figures have been entered for the debit and credit entries
D An expense item has been posted to a non-current asset account **(2 marks)**

14 Deborah performed a receivables ledger control account reconciliation and found the following errors:

(i) The sales day book was undercast by $100

(ii) An invoice from the sales day book had been posted to the individual customer's account as $769 instead of the correct figure of $679

Which of the following shows the necessary adjustments to ensure that the balances reconcile at the correct amount?

A Dr Receivables ledger control account $100, Subtract $90 from the list of customer balances
B Dr Receivables ledger control account $100, Add $90 to the list of customer balances
C Cr Receivables ledger control account $100, Subtract $90 from the list of customer balances
D Cr Receivables ledger control account $100, Add $90 to the list of customer balances

(2 marks)

15 What is the document that a business sends to customers to summarise transactions at the end of an accounting period?

A Remittance advice
B Statement of account
C Credit note
D Invoice **(2 marks)**

16 A customer returns goods to Darren because she is not happy with the quality of the items delivered.

In which book of prime entry will Darren record this?

A Sales day book
B Sales returns day book
C Purchases day book
D Purchases returns day book **(2 marks)**

17 Which of the following are valid reasons for keeping a receivables ledger control account?

(i) To obtain a figure for receivables to be included in the statement of financial position
(ii) To assist in the location of errors
(iii) To check the accuracy of entries made in customers' personal accounts

A (i) and (ii) only
B (ii) and (iii) only
C (i), (ii) and (iii)
D (i) and (iii) only **(2 marks)**

18 An invoice from a supplier for raw materials has been posted to the plant and machinery account in the general ledger.

What type of error has occurred?

A Compensating error
B Error of omission
C Error of principle
D Error of transposition **(2 marks)**

---

19 Which of the following correctly describes an asset?

A An asset is an item of revenue expenditure
B An asset is something a business earns
C An asset is something a business owes
D An asset is something a business owns **(2 marks)**

---

20 A transaction to buy goods when payment is made at a later date is a definition of what?

A Cash sale
B Credit sale
C Cash purchase
D Credit purchase **(2 marks)**

---

21 Which one of the following is the correct posting of totals from the sales day book?

A	Dr Sales account	Cr Receivables ledger control account
B	Dr Sales account	Cr Cash book
C	Dr Receivables ledger control account	Cr Sales account
D	Dr Cash book	Cr Sales account

(2 marks)

---

22 The following differences have been identified when reconciling the cash book to the bank statement:

(i) Bank charges have not been entered in the cash book
(ii) A standing order that does not relate to the business has been processed in error by the bank
(iii) A transposition error has occurred when entering a cheque received in the cash book
(iv) Cheques received from customers and paid into the bank do not appear on the bank statement

Which of the above require adjustments to be made in the cash book?

A (i), and (iii) only
B (ii) and (iv) only
C (i) and (iv) only
D (i), (ii), (iii) and (iv) **(2 marks)**

---

23 At 1 April the balance on Jaitinder's receivables control account was $4,268. During the month of April the following transactions took place: credit sales $15,487, sales returns $955, irrecoverable debt written off $210, cheques received from customers $13,486, discounts allowed $408.

What is the balance on the receivables control account as at 30 April?

A $5,472
B $4,696
C $3,880
D $654 **(2 marks)**

---

24 Which of the following correctly describes a liability?

A Someone who owes money to the business for goods purchased on credit
B A transaction to sell goods to be paid for at a later date
C A transaction to purchase goods for immediate payment
D An amount owed by the business **(2 marks)**

---

25 The following statements relate to the aged payables analysis:

(i) It provides information about debt collection efficiency to the management
(ii) It identifies when payments are due to be made to suppliers

Which of the above statements are correct?

A (i) only
B (ii) only
C Both the statements
D Neither of the statements **(2 marks)**

---

26 A debit entry into a ledger account represents which of the following?

A Increase in an expense
B Increase in income
C Decrease in an asset
D Decrease in drawings **(2 marks)**

---

27 Imelda's receivables ledger showed that $4,570 was owed by customers at the start of the week. During the week Imelda had sales of $6,940 of which $1,000 were cash sales. She also received $5,640 in cheques from customers.

What is the closing balance on Imelda's receivables ledger?

A $5,870
B $4,870
C $4,470
D $3,270 **(2 marks)**

---

28 Which of the following errors will require an entry to a suspense account to correct it?

A A credit sale was completely omitted from the accounting records

B A credit purchase was recorded as a cash purchase

C The payment of rent was debited to the plant and machinery account instead of the rent account

D A cash purchase was recorded correctly in the purchases account and debited in the bank account **(2 marks)**

---

29 What document can be given to a customer who pays for goods at the time of the transaction?

A Purchase order
B Receipt
C Statement
D Credit note **(2 marks)**

---

30 A business has the following year end payroll information

Gross salaries and wages	$95,116
Income tax deducted	$20,354
Employer's pension contributions	$8,928
Employees' pension contributions	$7,678

What is the total payroll cost to the business for the year?

A $132,076
B $111,722
C $104,044
D $82,440 **(2 marks)**

---

31 Petra sells goods with a list price of $2,500 to Shep, offering a 5% trade discount. Sales tax is 20%

What amount should be recorded for this transaction in the sales account (to the nearest $1)?

A $2,850
B $2,500
C $2,375
D $1,900 **(2 marks)**

---

32 Which of the following statements regarding sales tax is true?

A Output tax and input tax are credit balances
B Output tax and input tax are debit balances
C Output tax is a debit balance and input tax is a credit balance
D Output tax is a credit balance and input tax is a debit balance **(2 marks)**

---

33 Which of the following items is an asset?

A Plant and machinery
B Drawings
C Payables
D Capital **(2 marks)**

---

34 The balance in Fred's cash book on the last day of April is $250 debit. When Fred examines his bank statement dated the same day he discovers the following:

(i) A cheque that Fred paid into the bank for $20 is still outstanding
(ii) A cheque for $50 paid by Fred to Ted has not yet been presented
(iii) Fred made a cash withdrawal of $100 during April but he forgot to record this
(iv) The bank has deducted bank charges of $12 for the month of April

What is the balance in Fred's cash book once the necessary adjustments have been made?

A $280
B $220
C $138
D $108 **(2 marks)**

---

35 Drusilla gives her customers individual trade discounts from the list price and a general 4% cash discount for all invoices settled within seven days of issue. A new customer, Livia, negotiates a 10% trade discount. Livia's transactions during October are:

12 October Buys goods with a $2,000 list price
16 October Pays the amount due in full

How much does Livia pay Drusilla on 16 October?

A $1,928
B $1,920
C $1,800
D $1,728 **(2 marks)**

---

36 Jane has a balance of $125,000 on her receivables ledger control account at the end of June.

What does this mean?

A She has bought $125,000 of goods in May
B She is owed $125,000 by her customers
C She owes $125,000 to her suppliers
D She has paid $125,000 to her suppliers in June **(2 marks)**

---

37 Martin is a sales tax registered trader. His sales day book shows sales of $4,000, net of sales tax at 20%.

What double entry will Martin post at the end of his day's trading?

A Dr Receivables $4,000 Cr Sales $4,000
B Dr Receivables $4,800 Cr Sales $4,800
C Dr Receivables $4,800 Cr Sales $4,000, Cr Sales tax $800
D Dr Sales $4,800 Cr Receivables $4,000, Cr Sales tax $800 **(2 marks)**

---

38 Helen works in a supermarket on a variety of shift patterns. She is paid a different amount each week, depending on how many hours she works.

By what method of remuneration is Helen paid?

A Piecework
B Commission
C Hourly rate
D Salaried **(2 marks)**

---

39 The following ledger balances make up a company's trial balance:

	$
Sales	76,700
Purchases	26,800
Non-current assets	31,400
Payables	18,200
Receivables	32,300
Cash at bank	14,200
Capital	9,800

What is the total of the credit column of the trial balance?

A $94,900
B $104,700
C $105,900
D $209,400 **(2 marks)**

---

40 Peter is in business as a bookseller. He uses the following coding system for his financial transactions:

1st number	*2nd number*
100 Purchases	300 Cash
200 Sales	400 Payables
	500 Receivables

Peter sells books worth $1,650 to Simon for cash.

Which of the following would be the code recorded in Peter's accounting system?

A 100300
B 100400
C 200300
D 200500 **(2 marks)**

---

41 In Frankel's cash payments book for the month of May the trade payables column totalled $12,700.

What does this amount represent?

A The amount invoiced by Frankel's suppliers during May
B The amount owed by Frankel's customers at the end of May
C The amount paid to Frankel's suppliers during May
D The amount of discounts given to Frankel's customers during May **(2 marks)**

42 Philip has a bank balance of $895 at the start of the week. During the week the following transactions occur:

Day 1 He purchases computer equipment with a list price of $400 but receives a 10% trade discount and a 5% cash discount for paying immediately by cheque

Day 2 He sells goods on credit for $455

Day 3 He receives a cheque for $200 from a credit customer

How much does Philip have in the bank at the end of the week?

A $1,208
B $753
C $735
D $695 **(2 marks)**

---

43 Which of the following are books of prime entry?

(i) General ledger
(ii) Purchases day book
(iii) Sales returns day book
(iv) Journal

A (i), (iii) and (iv)
B (i), (ii) and (iv)
C (ii), (iii) and (iv)
D (i), (ii) and (iii) **(2 marks)**

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44 Purcell owes Vivaldi for some goods it recently bought. Purcell is settling the invoice early to obtain a discount.

What is the correct double entry for this in Purcell's books?

A Dr Vivaldi — Cr Bank, Cr Discount received
B Dr Vivaldi, Dr Discount received — Cr Bank
C Dr Bank — Cr Discount allowed, Cr Purcell
D Dr Bank, Dr Discount allowed — Cr Purcell **(2 marks)**

---

45 Ermintrude works in a furniture workshop and is paid a rate of $7.50/hour for a 40 hour week. All overtime is paid at time and a half. In addition a piecework rate of $10 for every furniture item fully assembled each week is paid.

Last week Ermintrude worked 44 hours and completed the assembly of six items of furniture.

How much is Ermintrude's gross pay for the week?

A $405
B $390
C $375
D $330 **(2 marks)**

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46 Which of the following is an example of external documentation?

A Supplier statement of account
B Staff time sheet
C Supplier details master file
D Inventory list **(2 marks)**

---

47 Which of the following is an accurate description of business profit:

A When there is money in the bank, the business has made a profit
B When the trial balance balances, the business has made a profit
C When expenditure exceeds income for an accounting period, the business has made a profit
D When income exceeds expenditure for an accounting period, the business has made a profit

(2 marks)

---

48 How would a sole trader record the withdrawal of cash from the business bank account for his own personal use?

A	Dr Profit	Cr Bank
B	Dr Drawings	Cr Bank
C	Dr Bank	Cr Drawings
D	Dr Bank	Cr Payables

(2 marks)

49 Terry sent a document along with the goods he supplied to Fiona.

What is this document known as?

A Debit note
B Statement of account
C Remittance advice
D Delivery note **(2 marks)**

50 The following statements relate to the payables ledger control account:

(i) Settlement discounts will not be recorded in the payables ledger control account.
(ii) The allowance for irrecoverable debts is recorded in the payables ledger control account.

Which of the above statements are correct?

A (i) only
B (ii) only
C Both (i) and (ii)
D Neither (i) nor (ii) **(2 marks)**

(2 marks per question = 100 marks)

Answers to Mock Exam 2

1	D	
2	B	$(3,105 + 700 – 169)
3	C	
4	D	
5	A	
6	B	$(75 + 125 – (25 + 5)
7	B	
8	A	
9	A	$(12,450 – 9,500)
10	D	
11	C	
12	C	$(80 × 12) – (12% of 960)
13	C	
14	A	
15	B	
16	B	
17	C	
18	C	
19	D	
20	D	
21	C	
22	A	
23	B	$(4,268 + 15,487 – 955 – 210 – 13,486 – 408)
24	D	
25	B	
26	A	
27	B	$(4,570 + 5,940 – 5,640)
28	D	
29	B	
30	C	$(95,116 + 8,928)
31	C	$(2,500 × 95%)
32	D	
33	A	
34	C	$(250 – 100 – 12)
35	D	$(2,000 × 90%) × 96%
36	B	
37	C	
38	C	
39	B	$(76,700 + 18,200 + 9,800)

40	C	
41	C	
42	B	\$895 – \$(400 × 90% × 95%) + \$200
43	C	
44	A	
45	A	(\$7.50 × 40) + (\$11.25 × 4) + (\$10 × 6)
46	A	
47	D	
48	B	
49	D	
50	D	

REVIEW FORM

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____

Date:______________________________ ______________________________

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- ☐ Recommendation by a lecturer at college
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- ☐ Other ______________________________

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- ☐ Our advertisement in *ACCA Student Accountant*
- ☐ Our advertisement in *Teach Accounting*
- ☐ Other advertisement __
- ☐ Our brochure with a letter through the post
- ☐ ACCA E-Gain email
- ☐ BPP email
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(Tick as many boxes as are relevant)

- ☐ Prices and publication dates of new editions
- ☐ Information on Practice & Revision Kit content
- ☐ Facility to order books
- ☐ None of the above

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Answers	☐	☐	☐
Mock exams	☐	☐	☐
Structure & presentation	☐	☐	☐
Icons	☐	☐	☐

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